

A Quick Guide to Migrant Workers' Rights

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Introduction

Malaysia has a dynamic legal community, including a culture of *pro bono* legal services. However, little *pro bono* assistance is available to migrant workers.

The Bar Council Legal Aid Centre ("BCLAC") has a mandate to assist non-citizens. The BCLAC is part of Bar Council Malaysia and operates in each state in Peninsular Malaysia.[1] However, assistance is confined to advice, settlement negotiation and occasional representation in criminal matters. We do not have the resources to represent migrant workers in civil proceedings or all migrant workers charged with crimes. Embassies sometimes fund private lawyers, but usually only in high profile or death penalty cases. No other government or private agency funds lawyers to represent non-citizens, even in criminal cases (except for death penalty cases).

Even if funding is available, finding lawyers to assist migrants to take cases further than negotiation is very difficult. Few lawyers have the expertise, interest, and time to represent migrant workers. The Bar Council Malaysia has institutionalised legal action on migrant workers and refugees as a priority area by creating a committee, but focuses more on policy reform than individual cases.

Migrant workers receive advice about their employment or immigration situation, if at all, from non-lawyers. These advisers may be law students volunteering at a legal aid centre or non-governmental organisation ("NGO"), NGO staff, labour officers at an embassy, or union representatives. Such advisers are of vital assistance, but may not be equipped or have the time to apprise the worker of all legal rights and options.

The aim of this Guide is to provide a brief outline of the situation of migrant workers, with a view to assisting Members of the Malaysian Bar who may wish to become involved in providing *pro bono* legal services to migrant workers.

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[1] The BCLAC operates pursuant to the Bar Council charter, Section 42(1)(h) of the Legal Profession Act 1976: "The purpose of the Malaysian Bar shall be to make provision for or assist in the promotion of a scheme whereby impecunious persons may be represented by advocates and solicitors.".

It introduces some issues that need to be understood and taken into account but not intended to be comprehensive. It should be used and read alongside the Bar Council Malaysia's publication *Migrant Workers' Access to Justice: Malaysia,* published in 2019. I would like to acknowledge the researchers for that publication, Eleanor Taylor-Nicholson, Renuka Balasubramaniam and Natasha Mahendran. Some information has been updated to include recent changes in the law.

The Malaysian Bar wishes to thank the Embassy of Switzerland for their keen partnership and strong support for this project. In particular, we want to appreciate Her Excellency Andrea Reichlin, Ambassador of Switzerland to Malaysia; and Matteo Bernasconi, Political Officer. Thanks also go to the Bar Council Migrants, Refugees and Immigration Affairs Committee ("MRIAC"), ably co-chaired by M Ramachelvam and Nor Herdawati Harun, for overseeing the project. I wish to acknowledge Andrew Khoo from MRIAC for condensing and editing the contents of the aforementioned Bar Council Malaysia publication into this Guide, and Adrian Pereira from North-South Initiative for reviewing the contents and providing feedback.

My earnest hope is that this Guide will encourage many more Members of the Malaysian Bar to involve themselves in this particular area of legal representation, and to volunteer their legal services to the migrant worker community.

A G Kalidas
President, Malaysian Bar

July 2021

1 Immigration Law and Policy, and Recruitment of Migrant Workers

1.1 Overview

Immigration law and policy frame the experience of all migrant workers in Malaysia. This chapter describes the various actors who implement and enforce immigration law; the immigration law framework regarding entry, exit, and stay of non-citizens in Malaysia; and policy and procedures governing recruitment.[2]

1.2 Actors with Responsibility for Migrant Worker Recruitment and Immigration Enforcement

Immigration management and enforcement is a complex system involving government and non-government actors. Government committees and departments implement the law, passed by the legislature, by developing policies and procedures. Enforcement agencies enforce the law and policies. Private companies are involved in the recruitment and documentation of migrant workers, and the management of workers in Malaysia.

1.2.1 Government Actors

The Cabinet Committee on Foreign Workers and Illegal Immigrants

The central policy-making body relevant to migrant workers is the Cabinet Committee on Foreign Workers and Illegal Immigrants. The Cabinet Committee comprises representatives from 11 ministries.[3] The Cabinet Committee's mandate and work are not public. It does not have a website and its deliberations are conducted in secret; decisions are publicised only in press releases. Nevertheless, press releases reveal that the Cabinet Committee

[2] Immigration Act 1959/63 [Act 155]. The Immigration Act was first enacted for Peninsular Malaysia as the Immigration Ordinance 1959, Ordinance No. 12 of 1959. Following the formation of Malaysia in 1963, the immigration rules were extended to Sabah and Sarawak.

[3] Participating Ministries include Home Affairs; Works; Plantation Industries and Commodities; Agriculture and Agro-Based Industries; International Trade and Industry; Tourism; Foreign Affairs; Human Resources; Health; Rural Development; and Entrepreneur Development and Cooperative Development.

makes all significant policy decisions affecting migrant labour in Malaysia, such as whether to freeze or increase the number of new workers, the launch of interior enforcement operations to identify undocumented migrant workers, details of recruitment procedures, the role of recruitment agencies, and exit and deportation procedures.[4]

Ministry of Home Affairs

Policy implementation regarding migrant workers is largely overseen by the Ministry of Home Affairs ("MOHA") and thus within Malaysia, migrant workers are viewed primarily through the lens of security, rather than labour. The MOHA is responsible for "formulating and implementing policy on security and public order", and maintaining "public order, harmony and internal security". Specifically, it is charged with "formulating and implementing policy on issues pertaining to immigration [and] foreign workers".[5]

The Immigration Affairs Division within MOHA acts as a secretariat to the Cabinet Committee on Foreign Workers and Illegal Immigrants.[6] In addition, the Foreign Worker Management Division supervises recruitment, including applications from employers seeking approval to hire foreign workers, and licensing of outsourcing agencies.[7]

The MOHA also houses departments with immigration administration and enforcement functions. The powers of each department are gazetted by the Prime Minister.[8]

The Immigration Department of Malaysia is responsible for performing the functions and exercising powers under the Immigration Act 1959/63 and the

[4] See A. Abas, and F. Aziz, "Cabinet Committee has decided 3 measures foreign workers employers should undertake: DPM", *New Straits Times Online*, 28 August 2015, tinyurl.com/yhthjwey.

[5] Ministers of the Federal Government Order (No. 2) 2013, [P.U. (A) 184], pp. 1593–1595, made pursuant to the Ministerial Functions Act 1969.

[6] MOHA, *Immigration Affairs Division: Introduction*, http://www.moha.gov.my/index.php/en/pengenalan-hal-ehwal-imigresen.

[7] MOHA, *Foreign Worker Management: Introduction*, http://www.moha.gov.my/index.php/en/bahagian-pa-pengenalan.

[8] Ministers of the Federal Government Order (No. 2) 2013, p. 1595.

Passports Act 1966. Under the Immigration Act 1959/63, the Immigration Department has authority for "general supervision and direction of all matters pertaining to immigration throughout Malaysia".[9]

The Royal Malaysia Police (Polis Diraja Malaysia ("PDRM")) is responsible for exercising all powers given to the police, including powers under the Immigration Act 1959/63 to arrest suspected undocumented migrants without a warrant.[10]

The Jabatan Sukarelawan Malaysia ("RELA") exercises powers under the Malaysia Volunteers Corps Act 2012, which allows citizen volunteers to "assist any security force", including immigration enforcement officers and police.[11] The RELA does not have the power to conduct arrests.

1.2.2 Private Actors Involved in Migrant Labour in Malaysia

Numerous private actors are involved in migrant worker recruitment and management of migrant workers. They include employers, outsourcing agencies, insurance companies, and government contractors that undertake certain administrative functions.

Employers

Employers are not mentioned in the Immigration Act 1959/63 but they play a large role in the immigration of migrant workers. Under the various recruitment rules, it is employers who arrange all approvals and immigration documents for migrant workers to enter Malaysia, and are responsible for the worker while in-country. A migrant worker's employer is endorsed on the work permit, and it is not legally possible for a migrant worker to change employer in Malaysia and still maintain documented status.

A sponsoring employer may be an individual, for example the employer of a domestic worker, or a company. Sometimes, the named employer is the owner of the trade or industry where the work is undertaken such as the owner of a home, plantation, or factory. The sponsoring employer could also be a labour

[9] Immigration Act 1959/63, Section 3(2).

[10] Immigration Act 1959/63, Section 35.

[11] Malaysia Volunteers Corps Act 2012, Section 5.

contractor that provides labour or services to various individuals or companies. In Malaysia, these employers are usually termed "outsourcing agencies". They act as both a recruitment agency, responsible for selecting and hiring workers from abroad, and a management company responsible for managing the workers in Malaysia and payment of wages.

Government Service Contractors

Some bureaucratic responsibilities associated with migrant worker recruitment and entry into Malaysia have been granted to private companies through government service contracts. It is not within the scope of this Guide to identify or examine these arrangements.

The MOHA, as the contracting agency, argues that these arrangements make for more efficient processes and have reduced waiting times. The arrangements are also controversial, however, because they are often conducted in a non-transparent manner, and contracts are awarded without a public tender process. Malaysia does not have clear laws on public procurement or administrative law controls on government contracting.[12] Governments of countries of origin also often protest at the increase in fees and paperwork required by these services.

1.3 The Law

The Immigration Act 1959/63 is the central statute governing immigration in Malaysia. It is supplemented by the Immigration Regulations 1963.

The Immigration Act 1959/63 essentially provides for the control of Malaysia's borders and empowers the Immigration Department of Malaysia to enforce its provisions. It requires that all persons wishing to enter Malaysia must enter and exit at designated checkpoints, and that all non-citizens hold either an entry permit or pass to enter Malaysia. The Act also sets penalties for violations of its provisions and creates procedures for detention and deportation. Details of these provisions are set out in the following sections.

[12] See C. McCrudden, and S. G. Gross, "WTO Government Procurement Rules and the Local Dynamics of Procurement Policies: A Malaysian Case Study", *The European Journal of International Law*, Vol. 17, 2006, pp. 151–181.

1.3.1 Entry and Passes for Non-Citizens

All persons entering Malaysia must do so through authorised entry points, as designated by the Minister of Home Affairs.[13]

Non-citizens entering Malaysia to remain temporarily must hold "a valid Pass lawfully issued to him".[14] The Immigration Regulations 1963 define eight types of passes: employment, dependent, visit, transit, student, special, landing, and residence passes.[15] Visit passes are further categorised into social business or professional visit, temporary employment, or tourist passes.[16] Fees for passes are set out in the Immigration Regulations 1963.[17]

Work Passes

For those entering Malaysia to work, two passes are relevant: the Employment Pass and the Visit Pass (Temporary Employment) ("VP(TE)"). These passes are both commonly called a "work permit" but they are for different kinds of workers.

The Employment Pass is intended for expatriates. It is issued by the Immigration Department to individuals who have a contract of service with a private company or a public authority.[18] The contract must be for a minimum of two years, and for a minimum salary of RM2,500 per month (as stated in policy documents).[19] The Employment Pass is valid for up to five years, and entitles the holder to multiple entries and exits.[20] The holder may change employers during the validity of the Pass with the written consent of the Immigration Department.[21] Finally, Employment Pass holders can bring their spouses and children with them to

[13] Immigration Act 1959/63, Section 5(1).

[14] Immigration Act 1959/63, Section 6(1).

[15] Immigration Regulations 1963, Regulation 11.

[16] Immigration Regulations 1963, Regulation 8.

[17] Immigration Regulations 1963, Regulation 34 and Third Schedule.

[18] Immigration Regulations 1963, Regulation 9(1).

[19] Immigration Regulations 1963, Regulations 9(1)(a) and (b).

[20] Immigration Regulations 1963, Regulation 9(2).

[21] Immigration Regulations 1963, Regulation 9(3).

Malaysia as dependents.[22] The Residence Pass, introduced in 2011, is also for "expatriates": for professionals and their family members.[23]

The VP(TE) is governed by much less detailed legal rules. The Pass authorises the holder to enter Malaysia and remain for up to 12 months, subject to the conditions of the Pass.[24] The Department may extend the Pass "for any further period or periods" as the Department thinks fit.[25] The Regulations make no provision for multiple entries or bringing dependents, making conditions for migrant workers who hold a VP(TE) much more restrictive than those for expatriates (see Table 1).

Table 1 | Conditions for Employment and Visit Passes

	Employment Pass	**VP(TE)**
Minimum Wage	RM2,500	None
Minimum Contract Period	Two years	None
Term of Validity	Up to five years, extendable	Up to 12 months, extendable
Number of Entries	Unlimited	One
Ability to Bring Dependents	Yes	No
Ability to Change Employers	Yes	No

Source: Immigration Regulations 1963

Special Passes

A Special Pass is a temporary pass that an immigration officer can issue to a person who wishes to remain in Malaysia "for any special reason".[26] A Special Pass is valid for one month, and may, at the officer's discretion, be extended.[27]

[22] Immigration Regulations 1963, Regulation 10(1).

[23] Immigration Regulations 1963, Regulation 16A.

[24] Immigration Regulations 1963, Regulation 11(6).

[25] Immigration Regulations 1963, Regulation 11(6).

[26] Immigration Regulations 1963, Regulation 14.

[27] Immigration Regulations 1963, Regulation 14(2).

It costs a small fee for the first issue and for each monthly extension.[28] Special Passes are the only option for migrant workers whose VP(TE)s have expired but who wish to stay in Malaysia, for example to bring a case.

Legal services providers said that most workers who showed a letter demonstrating they were pursuing a complaint with the Department of Labour ("DoL") or Department of Industrial Relations would be granted a Special Pass and at least two renewals (a total of three months).[29] The discretionary, short-term nature of the Special Pass limits its usefulness to migrant workers seeking remedies.

Procedures for Obtaining and Cancelling Passes

The Immigration Regulations 1963 outline some procedures and have standard forms for applying for different kinds of passes. Immigration officers are empowered to require applicants to submit to an examination by a government medical officer, and to request payment of security deposit "for all costs, charges and expenses" associated with potential repatriation or removal from Malaysia.[30]

The Immigration Department has "absolute discretion [to] cancel any Pass at any time".[31] The cancellation comes into force on the day that it is signed, and the Immigration Department will then notify the former pass-holder if their address is known.[32] Remaining in Malaysia after a pass is cancelled makes the former pass-holder subject to removal, and prohibited from entering Malaysia thereafter.[33]

This broad power means that whenever a migrant worker quits his or her job, the employer can notify the Immigration Department claiming that the worker has

[28] Immigration Regulations 1963, Regulation 14(2). Under these Regulations, the Special Pass is to be issued on Form 16, which does not state any prohibition on taking employment. It is assumed that a Special Pass holder cannot work legally.

[29] For more information about the Special Pass system, see Bar Council Malaysia, *Memorandum Relating to the Special Pass*, 2008, pp. 1–19.

[30] Immigration Act 1959/63, Section 39; Immigration Regulations 1963, Regulation 5(1).

[31] Immigration Act 1959/63, Section 9(1)(b).

[32] Immigration Act 1959/63, Section 9(3).

[33] Immigration Act 1959/63, Section 9(4).

violated the terms of the pass. The Department can, and normally will, cancel the pass immediately.

1.3.2 Prohibited Immigrants

Certain non-citizens, even if they obtain a pass, are prohibited from entry into or stay in Malaysia. A "prohibited immigrant" includes any non-citizen who falls within certain prohibited classes. For migrant workers, the most relevant of these categories are persons who:

(1) cannot show employment in Malaysia or the means of supporting oneself;
(2) are entering or have entered Malaysia unlawfully under any Malaysian law;
(3) are not in possession of valid travel documents or are using "forged or altered travel documents";
(4) have a pass or permit that has been cancelled;
(5) refuse to undergo a medical examination when applying for a pass, or are found to have a contagious or infectious disease; and
(6) have been convicted of any criminal offence in any country and sentenced to any period of imprisonment. This would include prior conviction for any immigration offence in Malaysia.[34]

A person deemed to be a prohibited immigrant can be refused entry into Malaysia. If the person is already present in Malaysia, he or she is subject to immediate removal.

1.3.3 Immigration Offences

Amendments to the Immigration Act 1959/63 over the past two decades, specifically in 1997 and 2002, have increased penalties and punishments for undocumented migrants and their employers.[35]

[34] Immigration Act 1959/63, Section 8.

[35] Immigration (Amendment) Act 1997 [Act A985] came into force on 1 February 1997.

Penalties for Undocumented Migrants

The 2002 amendments imposed mandatory whipping of non-citizens convicted of illegal entry, among other changes.[36] Whipping is done with a *rotan*, similar to a cane. See Table 2 for the key offences and punishments for non-citizens under the Immigration Act 1959/63.

Table 2 | Offences and Punishments for Non-Citizens under the Immigration Act 1959/63

Section	Offence	Penalty
6(3)	Entry into Malaysia without a valid entry permit or pass	A fine of up to RM10,000 and/ or imprisonment up to five years, and whipping up to six strokes
9(4) and (5)	Presence in Malaysia after a pass is cancelled	Immediate detention and removal

[36] Immigration (Amendment) Act 2002 [Act A1154] came into force 1 August 2002.

5	Entering or departing from Malaysia outside of authorised landing places, airports, or ports of entry	A fine of up to RM10,000 and/ or imprisonment for up to five years
8(5)	Entry as a prohibited immigrant without a valid pass	
15	Remaining in Malaysia after a pass has expired	
24(2) and 26(4)	Refusal to be examined by an immigration officer on arrival in Malaysia, or following a decision by an immigration officer denying entry, refusing to return to the vessel	
27(2)	Refusal to enter immigration detention following direction by an immigration official, or escape from immigration detention	
28(2) 30(2), 39A(2)	Refusal to answer questions from an immigration official truthfully, evading questions, or refusing to produce one's documents or producing false documents	

Source: Immigration Act 1959/63

The burden of proof that someone is not a prohibited immigrant rests on the non-citizen.[37] This means that a migrant worker arrested for a suspected immigration offence is required to positively prove that he or she is not a prohibited migrant, for example by presenting his or her passport with a valid pass. In practice, this means that officers assume any person who appears foreign and is found without their passport is a prohibited migrant and will charge them with illegal entry under Section 6, the most severe charge under the Immigration Act 1959/63, even if they entered Malaysia legally but overstayed.

[37] Immigration Act 1959/63, Section 8(4).

Penalties for Employers of Undocumented Migrants

Employers who hire undocumented migrant workers can also be fined between RM10,000 and RM50,000 and/or receive a prison sentence of up to 12 months for each undocumented employee.[38] An employer found with more than five undocumented employees will be imprisoned for between six months and five years, and whipped up to six strokes.[39] Whipping of employers is rare if it occurs at all, but the Minister of Home Affairs warned in March 2016 that prosecutors will start seeking this sentence in more cases to deter such hiring.[40]

1.3.4 Trial, Detention and Removal

Non-citizens convicted at criminal trial of illegal entry are liable to removal (deportation) as an "illegal immigrant".[41] Non-citizens "unlawfully present" in Malaysia after the cancellation or expiry of a pass (overstaying) are liable to removal without a trial or conviction.[42]

The Immigration Department, not the court, takes the decision to deport by making an order for removal of the migrant concerned, called a deportation order.[43] There is a right to appeal a deportation order, but only to the Minister, and only from a deportation order made on the ground of unlawful presence.[44]

Immigration officers have the power to arrest without a warrant any person they reasonably suspect of being "liable to removal" and to detain them for up to 30 days pending a decision to make a deportation order.[45] Where a deportation order is made, the person can be detained for "any period as may be necessary"

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[38] Immigration Act 1959/63, Section 55B(1).

[39] Immigration Act 1959/63, Section 55B(3).

[40] H. Jamaludin, "Freeze on new foreign workers, those who hire illegals to be caned", *New Straits Times Online,* 12 March 2016, tinyurl.com/3tfe3fsr.

[41] Immigration Act 1959/63, Section 32(1). The crimes of illegal entry are set out in Sections 5, 6, and 8.

[42] Immigration Act 1959/63, Section 33(1). The crimes of overstaying are set out in Sections 9 and 15.

[43] Immigration Act 1959/63, Sections 32 and 33.

[44] Immigration Act 1959/63, Section 33(2).

[45] Immigration Act 1959/63, Section 35.

to arrange the deportation.[46] Detention may be in a prison, police station or immigration depot (detention centre). Within 14 days of the start of any period of detention, the person must be presented to a magistrate to decide whether to authorise continued detention.[47] This provision is respected in practice.

1.4 Other Legislation Relevant to Immigration and Recruitment

1.4.1 Passports Act 1966

The Passports Act 1966 requires that all persons who enter and exit Malaysia hold a valid passport, and that non-citizens hold a valid visa.[48] It prescribes offences of document fraud; tampering with, or forging a passport or visa; or entering the country on someone else's passport. As with most immigration offences, violations of the Passports Act 1966 are punishable with a fine of up to RM10,000 and/or imprisonment up to five years, as well as removal from Malaysia.[49]

The Passports Act 1966 could also be used to protect migrant workers. The offence of having in one's "possession any passport or internal travel document issued for the use of some person other than himself" criminalises migrant workers who use another person's passport. It may also be used to prosecute an employer or agent who withholds a migrant worker's passport.[50]

1.4.2 Employment Restriction Act 1968

The Employment Restriction Act 1968 established the principle that non-citizens can only work in Malaysia if they are issued "a valid employment permit".[51] It gave responsibility to issuing work permits to the Ministry of Human Resources ("MOHR"). Although the work permit requirement remains in place, the statute is no longer enforced and the MOHR has no role today in granting work permits or regulating foreign employment. This role has been assumed by the MOHA.

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[46] Immigration Act 1959/63, Section 34(1).

[47] Federal Constitution, Article 5(4) and its second proviso.

[48] Passports Act 1966, Sections 2(1) and 2(2).

[49] Passports Act 1966, Sections 4, 10 and 12(1).

[50] Passports Act 1966, Section 12(1)(e).

[51] Employment (Restriction) Act 1968 [Act 353], Section 5(1)(b).

1.4.3 Anti-Trafficking in Persons and Anti-Smuggling of Migrants Act 2007

The Anti-Trafficking in Persons and Anti-Smuggling of Migrants ("ATIPSOM") Act was passed in 2007, and amended in 2010 and 2015. It criminalises trafficking in persons and smuggling of migrants.[52] The provisions addressing human trafficking are intended to protect exploited migrants as well as punish traffickers. The provisions addressing "smuggling of migrants" target those who facilitate undocumented migration, namely the:

> (a) arranging, facilitating or organizing, directly or indirectly, a person's unlawful entry into or through, or unlawful exit from, any country of which the person is not a citizen or permanent resident either knowing or having reason to believe that the person's entry or exit is unlawful; and
>
> (b) recruiting, conveying, transferring, concealing, harbouring or providing any other assistance or service for the purpose of carrying out the acts referred to in paragraph (a).[53]

The Government has also indicated a willingness to prosecute employers of undocumented migrants under the ATIPSOM Act for "harbouring" of smuggled migrants or profiting from the offence.[54] The maximum penalty for migrant smuggling is imprisonment of 15 years, and for profiting from smuggling the sentence is between seven and 15 years.[55]

The law addresses the situation of migrant workers who are deceived from the point of recruitment and then held in forced labour-like conditions in Malaysia. It also provides for some protections for trafficked persons, including a possibility of remaining in Malaysia to work instead of being returned home.

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[52] ATIPSOM Act, gazetted on 26 July 2007.

[53] ATIPSOM Act, Section 2.

[54] A. Shah, "Employers of illegal workers to get the rotan", *New Straits Times Online,* 12 March 2016, tinyurl.com/pn5p4zzm.

[55] ATIPSOM Act, Sections 26A and 26D.

Smuggling of migrants is the "arranging, facilitating or organizing … a person's unlawful entry into or through" Malaysia, and targets irregular migration. Smuggling may become trafficking if the smuggled migrant is later exploited after their arrival in Malaysia, as per the definitions of the ATIPSOM Act.

The ATIPSOM Act, therefore, overlaps with both the Immigration Act 1959/63 (which criminalises facilitating illegal entry) and the Penal Code (which criminalises slavery and forced labour). However, the ATIPSOM Act also criminalises associated actions which facilitate slavery or forced labour such as making fraudulent travel documents for the purposes of trafficking persons, harbouring trafficked persons, or recruiting someone to "participate in the commission of an act of trafficking in persons".[56]

Further, the penalties under the ATIPSOM Act are higher. Those convicted of trafficking a child, or trafficking an adult using threats, force, fraud, or abuse of power or vulnerability can be sentenced to up to 20 years in prison, compared to seven years for a conviction of slavery under the Penal Code.

Protection of Victims of Trafficking

The ATIPSOM Act also creates a procedure for the "care and protection" of victims of trafficking crimes. This requires that trafficked persons be given food and shelter in a government designated "place of refuge" for the duration of any legal proceedings. Further, they have some ability to get free medical care if the officer who identifies them as potentially trafficked "is of the opinion" that the person needs "medical examination or treatment".[57] Other provisions include:

(1) a possibility for trafficked persons to move freely in and out of the shelter, and to obtain employment;[58]

(2) a possibility to receive restitution for injuries and losses caused as a result of the trafficking, following the conviction of the trafficker;[59] and

[56] ATIPSOM Act, Sections 15A, 18–24.

[57] ATIPSOM Act, Section 41.

[58] ATIPSOM Act, Section 66A.

[59] ATIPSOM Act, Section 66B.

(3) steps for a worker to claim payment of wages in arrears, if the trafficker is not successfully convicted.[60]

The ATIPSOM Act gives trafficked persons immunity from prosecution for offences the person may have committed while being trafficked, for example illegal entry. This immunity is not granted to smuggled migrants. It also guarantees confidentiality and prohibits media outlets from reporting information that would identify the victim.[61]

This Guide will not deal with the specifics of the ATIPSOM Act. For more information on the ATIPSOM Act, and how it may be applicable to a migrant worker, please refer to the Bar Council Malaysia's publication *Migrant Workers' Access to Justice: Malaysia*.

1.4.4 Private Employment Agencies Act 1981

Malaysia does not have a law specifically governing the recruitment of workers from abroad. The only legislation governing recruitment in Malaysia is the Private Employment Agencies ("PEA") Act 1981, administered by the MOHR. The PEA Act establishes a regime for the licensing of any person or company that "acts as an intermediary" between employers and workers for profit. It limits placement fees for workers to no more than 25 percent of the first month's pay.[62]

However, the PEA Act only mentions, and only sets fees for, placement of Malaysian workers in local positions or overseas. It has no provision for recruiting foreign workers from abroad to work in Malaysia. It also does not regulate the operation of outsourcing agencies, which directly employ workers from abroad and place them with companies and businesses.

Recent Memorandums of Understanding ("MoUs") with Cambodia also require the use of a Malaysian recruitment company registered under the PEA Act. It is unclear how this works given the limitations of the PEA Act.

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[60] ATIPSOM Act, Section 58.

[61] ATIPSOM Act, Section 51A.

[62] PEA Act, Section 14, Second Schedule.

1.5 Recruitment Policies and Procedures for Hiring a Documented Migrant Worker

Rules governing recruitment are, in practice, created on an *ad hoc* basis at the ministerial level by the Cabinet Committee on Foreign Workers and Illegal Immigrants or at the departmental level by the Immigration Department. These rules take the form of policies and circulars, but they are not published and their content changes frequently. Knowledge of their contents is available only from press releases and third-party web sources.

The recruitment process described by these sources is that it occurs in two stages: first, the employer obtains a Visa with Reference ("VDR") for the migrant worker to enter Malaysia; second, after the worker has entered on this visa, the employer applies for the VP(TE) to grant the worker work authorisation. While several government departments are required to give permissions during this process, none of them usually require the employer to show the contract under which the migrant worker will be employed in Malaysia.

The whole recruitment process from the search for a worker to obtaining a work permit was estimated in 2014 to take a minimum of five months.[63] Employers in specific sectors say that the post-arrival process of obtaining the work permit alone can take up to six months, during which time the migrant worker works without complete documents. Renewal of work permits reportedly takes between two weeks and a month for one worker, and more than two months for more than five workers.[64]

The costs to employers of recruiting a worker from abroad depend on the nationality of the worker and whether a recruitment agency is used. As an example, an opinion piece from December 2014 complained that the cost of recruiting a domestic worker abroad using an agency commonly reach RM15,000.[65]

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[63] Malaysian Employers Federation ("MEF"), *Practical Guidelines for Employers on the Recruitment, Placement, Employment and Repatriation of Foreign Workers in Malaysia*, December 2014, https://www.mef.org.my/Attachments/MEFReport_PGERPERFWM.pdf.

[64] *Ibid*.

[65] C. Poo, "The cost of hiring a maid", *The Star Online*, 5 December 2014, tinyurl.com/yjmnubnm.

The following outlines the procedures as identified on the MOHA website[66] and the Immigration Department's website.[67] All steps for the recruitment of a worker from abroad are the responsibility of the prospective sponsoring employer. They take place before arrival, after arrival, and each subsequent year the worker remains employed in Malaysia.

Please note that we have not dealt with the specific issues surrounding the area of employment of migrant domestic workers, which is a separate category of migrant workers with many exceptions, in this Guide. For more information on this area, and how it may be applicable to a migrant worker, please refer to the Bar Council Malaysia's publication *Migrant Workers' Access to Justice: Malaysia*.

Before Arrival

(1) Employer obtains permission to recruit from abroad from the MOHR. This requires that the employer advertise the position locally. Approval must also be sought from the MOHA at local and national levels.

(2) Employer applies for a VDR from the Immigration Department. This requires the employer to present:

(a) a letter recording the approval of the MOHR to hire from abroad;
(b) receipt of payment of the levy;
(c) evidence that the required workers have been hired from abroad and personal documentation from the hired workers;
(d) certificates of insurance under the Foreign Workers Insurance Scheme and the Health Insurance Scheme; and
(e) payment of a security bond to the Immigration Department with a RM10 postage stamp.[68]

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[66] MOHA, *Bahagian Pengurusan Pekerja Asing*, http://www.moha.gov.my/index.php/en/bahagian-pa-maklumat-perkhidmatan (last accessed in November 2016).

[67] Immigration Department of Malaysia, *Recruitment Terms and Conditions of Foreign Workers*, http://www.imi.gov.my/index.php/en/foreign-worker.html (last accessed on 23 September 2016).

[68] Under the Immigration Ordinance, 1959 (F.P.M. 12 of 1969), Immigration of Malaysia Regulation, 1963 (F.L.W. 228/63) PERSONAL BOND (Regulations 18). See link for sample: http://www.imi.gov.my/images/borang/Pekerja%20Asing/Borang%20Personal%20Bond.pdf (last accessed on 23 September 2016).

Arrival and Post-Arrival

(3) The worker clears immigration with the VDR and is collected by the employer, or employer's representative.

(4) Within 30 days, the worker must undertake and pass a second, in-country medical examination. A worker who is found to be "unfit" must be sent home by the employer. The employer may apply for a replacement worker.[69]

(5) The employer applies to the Immigration Department for a VP(TE) to be placed in the worker's passport. The VP(TE) is valid for up to 12 months.

During Stay in Malaysia

(6) Each year, the employer must apply for a one-year extension three months before the VP(TE) expires, and pay the annual levy, which can then be deducted from the worker's wages. The worker must also pass another medical examination at the Foreign Workers' Medical Examination Monitoring Agency ("FOMEMA") during their second and third-year extension of stay.

Return to Home Country

(7) Upon conclusion or termination of the contract, the employer must obtain a Check-Out Memo from the Immigration Department. The worker must then leave Malaysia. It is not possible for a migrant worker to obtain the Check-Out Memo independently.

1.5.1 Pre-Arrival

<u>Malaysian Government Approvals</u>

Approvals are required from three Malaysian government agencies before an employer can recruit from abroad.

[69] FOMEMA, the Foreign Workers' Medical Examination Monitoring Agency in Malaysia is run by Unitab Medic Sdn. Bhd., a private company.

First, the DoL must certify that the employer has given an opportunity to local jobseekers to fill vacancies in their companies before seeking overseas workers. To obtain this certification, the employer must register the vacancy in the Job Clearance System / JobsMalaysia for all registered local workers to view.[70]

Second, the employer must get approval from a MOHA Local Centre of Approval that the employer's request for workers falls within national industry quotas, which are set at the ministerial level.

Finally, the employer must register with the MOHA and submit an application for approval to recruit migrant workers at the One-Stop Approval Centre ("OSC") located at the Foreign Worker Management Division of the MOHA. The OSC houses representatives from ministries in charge of various economic sectors to approve the application. Applications that satisfy all the conditions for recruiting migrant workers are processed and given the final approval.[71] This approval can be given on the same day at the OSC.[72]

Payment of Levy

After an employer receives certification that the foreign worker application has been approved, the employer must pay a levy for each worker within 48 hours.[73] The MOHA will then issue a conditional letter of approval.[74]

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[70] MOHR, *Employment of Foreign Workers,* http://jtksm.mohr.gov.my/index.php/en/services/pengurusan-pekerja-asing/penggajian-pekerja-asing (last accessed in November 2016).

[71] The OSC houses representatives from ministries in charge of various economic sectors to approve the application. Representatives from the MOHR; Ministry of International Trade and Industry ("MITI"); Ministry of Agriculture and Agro-Based Industry; Ministry of Plantation Industries and Commodities; Construction Industry Development Board Malaysia ("CIDB"); Ministry of Domestic Trade, Co-operatives and Consumerism; and Ministry of Tourism and Culture are stationed at the OSC to process foreign worker recruitment applications, MOHA, http://www.moha.gov.my/index.php/en/bahagian-pa-maklumat-perkhidmatan (last accessed on 28 September 2016).

[72] MOHA, http://www.moha.gov.my/index.php/en/bahagian-pa-maklumat-perkhidmatan (last accessed on 28 September 2016).

[73] MEF, *Practical Guidelines for Employers on the Recruitment, Placement, Employment and Repatriation of Foreign Workers in Malaysia*, December 2014, https://www.mef.org.my/Attachments/MEFReport_PGERPERFWM.pdf.

[74] *Ibid*.

The levy is an annual amount paid to the MOHA, which remits the money to the Ministry of Finance, for every documented migrant worker in the country. The amount of the levy varies by sector and has been rising.

Although the employer initially pays the levy, since 2013 the MOHR has allowed the employer to recoup the amount from migrant workers after their arrival.[75] This amounts to almost two months of wages for workers paid the minimum wage of RM1,000 per month, a significant amount for many workers, and is effectively a form of income tax. The shift in burden from the employer to the worker was a concession to employers upset about the introduction of the minimum wage in 2013.

Approvals from Countries of Origin

The employer has 18 months from the date of the MOHA approval to seek consent from the embassy of a country of origin to recruit workers in that country. This usually requires the payment of a fee to the embassy.[76]

Hiring of Workers

With the embassy's consent, the employer can approach a recruitment agent in the source country to recruit the workers. According to the Foreign Workers Centralized Management System ("FWCMS") website, employers must ensure that the recruitment agency is registered with both the respective home country government and with the FWCMS in Malaysia.[77]

To be eligible for employment, non-citizens must be between the ages of 18 and 45, and not be a "prohibited migrant" under the Immigration Act 1959/63.

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[75] MEF, Circular AG 17/2013 dated 9 July 2013.

[76] For example, the Embassy of Nepal in Malaysia charges RM300 to attest the relevant demand documents. See Nepal Embassy, Fees for Consular Services, https://my.nepalembassy.gov.np/rate-of-fees/ (last accessed on 23 September 2016).

[77] FWCMS has an updated list of registered recruitment agencies on their website, and if the selected agency is not on the list, but is a genuine registered agency in the source country, there is a form for them to complete and register with FWCMS. For more details, see FWCMS, *Frequently Asked Questions: Malaysian Employers*, http://www.fwcms.com.my/faq.html (last accessed on 22 September 2016).

Selected workers must pass a medical test from an approved provider in the country of origin.[78] The results of the medical test are valid for three months from the date of issuance.

As of 4 May 2015, migrant workers in Indonesia, India, Bangladesh, the Philippines, and Vietnam also must pass an Immigration Security Clearance, which is subject to a fee.[79]

Malaysia does not have a standard contract for general employees but it does have a sample contract for domestic workers, although its provisions are not mandatory. The sample contract includes obligations for the employer to, among other things, provide the domestic worker with "reasonable accommodation and amenities" and "reasonable and sufficient daily meals".[80] It also allows the domestic worker to terminate the contract for "abuse and ill-treatment".[81]

Agencies play a central role in the experiences of migrant workers in Malaysia. Almost all of the migrant workers speak of having an "agent" in Malaysia who either hired them out to an employer or placed them with an employer for a fee. It was not always clear from the descriptions whether the agent was a company or an individual, or whether they were licensed or acting in an informal capacity.

Yet, the rules governing the operation of recruitment agencies (which recruit and then place the worker with an employer for a fee) and outsourcing agencies (which act as the direct employer of the worker) are ambiguous and not set out in legislation or regulation.

Until the mid-2000s, agents were mostly used informally by Malaysian employers. Then in August 2005, the Cabinet Committee on Foreign Workers and Illegal Immigrants approved the "Foreign Worker Supply and Management System

[78] For a list of approved medical centres, see http://www.imi.gov.my/images/pdf/Senarai_Pusat_Kesihatan_as_at_1Mei2015.pdf (last accessed on 28 September 2016).

[79] Announcement on the Immigration Department website, *Recruitment Terms and Conditions of Foreign Workers*, http://www.imi.gov.my/index.php/en/foreign-worker.html (last accessed on 23 September 2016).

[80] Immigration Department of Malaysia, draft of contract of employment for domestic helpers (Section 5), https://www.imi.gov.my/portal2017/images/pdf/kontrak.pdf.

[81] *Ibid*.

according to the Outsourcing Method".[82] This required companies intending to hire fewer than 50 foreign workers to use the services of labour brokers (labour outsourcing company), while allowing firms recruiting more than 50 migrant workers to recruit directly.[83] Then, in 2006, the Cabinet Committee on Foreign Workers and Illegal Immigrants approved the "Foreign Workers Outsourcing Scheme" and began licensing outsourcing companies by a simple letter of appointment. By 2010, the Minister for Home Affairs had approved 277 outsourcing agencies to recruit overseas workers.[84]

In recent years, officials have publicly disavowed the use of outsourcing due to complaints of worker exploitation although they have not issued a new policy or scheme.[85] A representative from the Foreign Worker Management Division stated that the granting of new licences and new labour import quotas was frozen in 2011. Workers brought in before 2011 and still employed by outsourcing companies will be allowed to finish their contracts and any allowed extensions in Malaysia, and then the companies will "die naturally". The one exception to this is companies who recruit foreign domestic workers, for example through one of two large agency networks — Malaysian Association of Foreign Maid Agencies ("PAPA") and Malaysian Maid Employers Association ("MAMA") — which may remain in operation.[86]

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[82] Like all Cabinet Committee decisions, the text is not publicly available. However, MOHA states that it was "with the aim of providing options for companies which do not intend to recruit foreign workers directly". See http://www.moha.gov.my/index.php/en/kenyataan-media-akhbar/89-maklumat-korporat/maklumat-bahagian/bahagian-pengurusan-pekerja-asing?start=10 (last accessed on 1 February 2016).

[83] Verité, *Forced Labour in the Production of Electronic Goods in Malaysia*, p. 31.

[84] An undated list of 240 approved outsourcing agencies was on the MOHA website: http://www.moha.gov.my/images/maklumat_bahagian/PA/Senarai_Syarikat_Outsourcing.pdf.

[85] The Deputy Home Minister told Parliament in 2013 that "we stopped using outsourcing companies because of all the cheating and confusion that happened under the system. There is no more outsourcing, now we just use direct dealing with source countries." See J. Sipalan, "Home Ministry: No middlemen to hire foreign labour", *Malay Mail Online*, 5 December 2013, tinyurl.com/d9d3hwxw (last accessed on 9 February 2016).

[86] PAPA was created in 1994 as an umbrella organisation for all recruitment agencies, but its role has since been limited to domestic workers. MAMA was created in 2010 to represent the employers of "maids'' from Indonesia, previously the largest supplier of domestic workers to the country until Indonesia stopped issuing permits to its citizens to work in Malaysia as a destination country in 2009.

Further, the Foreign Worker Management Division website still states that "employers may use the services of outsourcing companies to supply and manage the foreign workers".[87]

Obtaining a VDR

To enter Malaysia, the employer must apply for a VDR or "calling visa", for the worker. The VDR is traditionally obtained through manual submission to the Immigration Department, but the MOHA is gradually moving towards a streamlined private system, the online FWCMS.[88]

The Malaysian Representative Office in the source country issues the VDR by placing it in the migrant worker's passport. The cost of the VDR depends on the nationality of the migrant worker, and ranges from no fee for Thai workers to RM50 for Indian workers.[89]

To obtain the visa, the employer must present several documents:

(1) Malaysian Government approvals;

(2) Evidence of recruitment from abroad, including documentary evidence of the hired workers — photographs; copies of passports, including photographs; the Immigration Security Clearance verification document; and certificates of medical fitness from an approved provider in the country of origin;

(3) Certificates of insurance under both the Foreign Workers Compensation Scheme ("FWCS") and Foreign Workers Hospitalisation and Surgical Insurance Scheme ("FWHS");

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[87] MOHA, *Foreign Worker Management Division*, http://www.moha.gov.my/index.php/en/pengenalan-perkhidmatan-pengurusan-pekerja-asing.

[88] FWCMS, *Frequently Asked Questions: General*, https://fwcms.com.my/frequently-asked-questions/ (last accessed on 28 September 2016).

[89] Immigration Department of Malaysia, "Table 2: Rates of Visa and security bond based on nationality", *Foreign Worker,* http://www.imi.gov.my/index.php/en/main-services/foreign-workers.html.

(4) Receipt of payment of the levy; and

(5) Payment of the Personal Bond by the employer to the Immigration Department as a guarantee against the worker absconding and requiring removal. The bond amount depends on the nationality of the worker, and ranges from RM250 for workers from Indonesia, Cambodia and Thailand; to RM1,500 for a migrant worker from Vietnam.[90]

1.5.2 Arrival and Post-Arrival in Malaysia

Migrant workers with a VDR may only enter Malaysia through the Kuala Lumpur International Airports 1 and 2, except for workers from Thailand and Indonesia, who may enter through other checkpoints.[91] The practice of the worker entering on a visa without a pass, seems in conflict with the Immigration Act 1959/63 requirement for a valid pass to enter Malaysia.

The workers then are held by the Immigration Department until their employer arrives. The employer must collect the migrant worker within six to 24 hours after their arrival.[92]

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[90] Immigration Department of Malaysia, "Fees for VP(TE) Extension", *Foreign Worker*, https://www.imi.gov.my/portal2017/index.php/en/foreign-worker.html.

[91] MEF, *Practical Guidelines for Employers on the Recruitment, Placement, Employment and Repatriation of Foreign Workers in Malaysia*, December 2014, https://www.mef.org.my/Attachments/MEFReport_PGERPERFWM.pdf.

[92] The Official Portal of the Immigration Department of Malaysia has conflicting information. In a 2015 press release, the time frame is said to be six hours (*Makluman Tempoh Masa Pengambilan Pekerja Asing Di Pintu Masuk Daripada 24 Jam Kepada 6 Jam*, http://www.imi.gov.my/index.php/ms/sumber-dan-arkib/pengumuman/344-makluman-tempoh-masa-pengambilan-pekerja-asing-di-pintu-masuk-daripada-24-jam-kepada-6-jam.html. Whereas the webpage on *Foreign Workers* states that "employers must ensure that the clearance process of foreign workers at the entry points is done within 24 hours from the arrival time", http://www.imi.gov.my/index.php/en/main-services/foreign-workers.html.

Post-Arrival Medical Screening

The Immigration Department requires migrant workers to undergo a mandatory health screening within 30 days of arrival.[93] If a worker is found unfit, the employer may appeal the decision through the examining doctor within two weeks.[94] Otherwise, the employer must repatriate the worker. If the worker is certified fit, the employer can apply for the VP(TE).

Application for a VP(TE)

The final step to becoming documented is obtaining the VP(TE), commonly referred to as a work permit. The employer presents evidence of completion of the above steps to the Immigration Department, and the VP(TE) is placed as a sticker in the worker's passport.[95]

Annual Renewal of the VP(TE)

After receiving the VP(TE), the worker can stay for up to 10 years in Malaysia, but the pass must be renewed annually. In the second and third-year extensions, the worker must undergo another medical examination.[96]

1.5.3 Return Procedures

Upon conclusion or termination of the contract, the employer usually purchases a ticket home for the migrant worker according to the terms of the employment contract and/or the worker's country of origin MoU with Malaysia.

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[93] Immigration Department of Malaysia, "Phase 2 (Post Arrival)", *Foreign Worker*, http://www.imi.gov.my/index.php/en/main-services/foreign-workers.html.

[94] FOMEMA, *Frequently Asked Questions: Process for Appeal of Foreign Workers' Medical Examination*, http://www.fomema.com.my/index.php/faq.

[95] MEF, *Practical Guidelines for Employers on the Recruitment, Placement, Employment and Repatriation of Foreign Workers in Malaysia*, December 2014, https://www.mef.org.my/Attachments/MEFReport_PGERPERFWM.pdf.

[96] Immigration Department of Malaysia, "Extension of VP(TE)", *Foreign Worker*, https://www.imi.gov.my/portal2017/index.php/en/foreign-worker.html.

Before the worker travels, the employer must obtain a Check-Out Memo from the Immigration Department.[97] Workers who have left the employer usually need assistance of the embassy to arrange exit from Malaysia. The employer can reclaim the personal bond after showing evidence the worker has left Malaysia.

1.5.4 Worker and Stakeholder Perspectives on the Recruitment Process

Notable about the entire recruitment process according to the above rules is the lack of control given to the migrant worker. The employer is the applicant for both the visa and pass, and there is no provision for the migrant worker to compel the employer if the employer fails to fulfil these responsibilities.

Not surprisingly then, from the worker's perspective, the recruitment process is highly disempowering, involving multiple agents who were often not clearly introduced, little reliable information about the job that awaited them in Malaysia, and large, sometimes not previously disclosed, fees.

Civil society organisations, academics and other stakeholders have repeatedly criticised the recruitment process as non-transparent, poorly coordinated and leaving migrant workers vulnerable to abuses by employers and agents. More broadly, they critique the lack of a coherent and public national policy on migrant workers.

Specific gaps that have been identified include the lack of:

(1) rules regarding the fees charged to workers by recruitment agents in Malaysia or abroad;

(2) clear lines of accountability of Malaysian employers for actions in the home country (sometimes called the recruitment supply chain), including promises made to workers or the charging of excessive fees by overseas agents;

[97] Immigration Department of Malaysia, https://www.imi.gov.my/portal2017/index.php/en/foreign-worker.html (last accessed on 11 August 2021).

(3) clarity regarding the role of outsourcing agencies in recruitment and migrant worker management, and lack of standards for outsourcing conduct, such as whether the Malaysian agency is required to interview candidates, provide an accurate job description to prospective workers or to the agents in the home country; and

(4) a standard employment contract, and no requirement that the contract be in a language the worker understands or that the worker be given a copy signed by the employer prior to their arrival in Malaysia.[98]

These regulatory gaps contribute to making migrant workers vulnerable to harms and abuses after their arrival in Malaysia. Restrictive immigration laws then make it difficult for migrant workers to leave their employment if they find themselves in exploitative situations.

[98] Immigration Department of Malaysia, *Foreign Domestic Helper*. The standard contract is available at https://www.imi.gov.my/portal2017/images/pdf/kontrak.pdf.

2 Harms Experienced by Migrant Workers in Malaysia

2.1 Overview

Migration to undertake low wage work in Malaysia entails a host of risks at all stages of the journey, from recruitment, to arrival in Malaysia, to working for a Malaysian employer. Abuse and exploitation of migrant workers are widespread. This chapter focuses on the harms that occur while migrating to Malaysia, working in Malaysia, and leaving Malaysia. These have been categorised in three sections as harms:

(1) during recruitment and arrival;

(2) in the workplace; and

(3) during arrest, prosecution, detention, and return.

2.2 Harms during Recruitment in the Home Country and upon Arrival in Malaysia

Recruitment of migrant workers involves actors in both Malaysia and the home country. Migrant workers described payment of excessive fees, lack of an employment contract and deceptive recruitment practices, which made them more vulnerable to exploitation. The period of recruitment is defined here as from the point of recruitment in the home country, to commencing work in Malaysia.

2.2.1 Excessive Fees

Migrant workers have had to pay fees before and after arrival. Fees were paid for individual costs (like a passport and flight) or as a lump sum. They were paid both to recruiters in the home country and/or in Malaysia. In some cases, the worker paid half before arrival and half after arrival. Sometimes no receipts are issued, or issued incorrectly, or with an amount lower than what had been paid.

Further, the fees were rarely explained to the migrant worker, and in some cases the migrant worker had to pay fees on arrival in Malaysia that were not previously disclosed.

Migrants rarely had sufficient funds to pay these fees upfront, and so took loans at high interest rates, or paid after arrival through deductions from their pay.

Debt made workers fearful of complaining about poor working conditions, and reluctant to leave their positions, no matter how difficult, for fear they would not be able to repay their debt. This may amount to debt bondage.

2.2.2 No Written Contract or Unable to Read Contract

Some migrant workers never receive any written employment contract. Any information they are given about the position in Malaysia was in the form of vague promises by an agent in their home country about the type of work and the pay.

Some workers have been asked to sign a written contract before they arrived in Malaysia, but they did not know the contents. This was either because the contract was promptly taken away from them after they signed, or because it was in English, which they could not read, and it was not explained to them.

2.2.3 Deception Regarding Conditions of Work and Contract Irregularities

Workers have reported that they were deceived about the nature and conditions of work that awaited them in Malaysia. The oral or written contracts made in the home country later turned out to have no relation to the actual position.

Workers were presented with new, less advantageous written contracts after they arrived in Malaysia and were told they must sign if they wished to keep the position — a practice commonly called “contract substitution”.

There are frequent complaints from migrant workers regarding contract substitution. When the worker arrived in Malaysia, they would receive the “real” contract. Other strategies that agencies used to deceive workers included giving workers contracts with incorrect details, contracts written in a language the workers did not understand, or giving the contract just before the worker’s departure, when it was too late for them to refuse the position. Some workers have not received a contract outlining their employment terms at all, but rather a notice on the consequences for early termination.

2.2.4 Deception Regarding Immigration Rules and Status

Some migrant workers have been deceived by an agent or employer regarding their travel and work authorisation documents.

Agents frequently misrepresented to migrant workers that they could enter Malaysia on a social visit pass (commonly called a tourist visa by migrant workers) and then obtain work authorisation after arrival. Migrant workers have reported that their employer or recruitment agent applied for the wrong visa, or were advised to enter on a tourist visa.

The workers found out too late that adjusting to a work permit from a social visit pass did not allow them to work or obtain a VP(TE) and that they were undocumented migrants in Malaysia. Agents also used this as an opportunity to extract more money from the migrant workers.

Some undocumented migrant workers were promised a work permit through the 6P Programme, an earlier amnesty and registration programme introduced by the Government, if they paid large fees to agents in Malaysia, yet the permit did not materialise.

The long period of uncertainty was extremely stressful for these migrant workers, and some felt compelled to take up irregular work in dangerous conditions while they waited for the work permit to arrive.

In further cases, the employer failed to apply for a work permit, or failed to renew the work permit in the requisite time, leaving the worker undocumented. The promise of a work permit could be used to control and threaten migrant workers.

Some workers in the restaurant sector said they did not know what their employment status was after their arrival in Malaysia because their employers held their passports, and did not answer their questions.[99] Migrant workers

[99] Some but not all migrant workers receive identity cards that they can carry with them in place of their passports. In 2014, Home Minister Datuk Seri Ahmad Zahid Hamidi said that all foreign workers would need an i-Kad by the end of the year. See E. Fazaniza, "I-Kad for Foreign Workers", *The Sun Daily*, 14 January 2014.

became irregular through no fault of their own because their employers did not pay their levy, despite deducting money for this purpose.

2.2.5 Passport Retention

Migrant workers have reported that their passports were retained by a Malaysia-based agent as soon as they arrived in the country. In some cases, the agent sought the worker's consent, but made it clear the worker could not refuse. In most cases, however, the passport was simply demanded. The agents explained that the passport was taken for safe keeping, to prepare the worker's work permit, or to prevent the worker from running away.

The passport would be returned to the worker only on the completion of their contract before departure. If a migrant worker decided to leave the employer earlier than this, for example for mistreatment or non-payment of wages, the passport may never be returned. The worker would have to apply for temporary travel documents from the embassy to depart.

Workers who do not have their original passports on them are vulnerable to harassment from police and immigration officers.

2.3 Harms Experienced at Work

Employment-based harms are by far the most common problems cited and the problems are diverse, ranging from issues with wages, overtime and time off, housing and food, communications, union membership, and physical and verbal abuse.

2.3.1 Non-Payment of Wages

Migrant workers have reported not receiving the wages they believed they were owed. Sometimes this was due to the workers being deceived during recruitment about the wages they would be paid. In other cases, the employers did not pay the amount they had agreed, or the amount they were legally required to pay.

Some migrant workers have not been paid anything at all either for several payment periods or for the duration of their time with the employer. In several cases, the employers told the workers that they were "holding" the wages until

the worker completed the contract. Some migrant workers were not paid for several months to cover unspecified "recruitment fees" to the Malaysia-based agent. The migrant workers had not been told before arrival that they would be required to pay these fees.

Non-payment of wages was a complaint among documented and undocumented workers alike, however undocumented workers felt particularly vulnerable because they did not believe they had any recourse.

2.3.2 Illegal Deductions

These deductions were usually for recruitment fees, as well as for the levy and health insurance. Some deductions were for accommodation and food and insurance although the employer must have written permission from the migrant worker and the DoL to deduct for these items. Migrant workers were unaware that the deductions would be made, and did not consent.

In other cases, money was deducted for a legal purpose, but the employer did not use the money for the stated purpose or deducted too much money. The levy and health insurance deductions were a particular target of these fraudulent schemes.

2.3.3 Excessively Long Working Hours and No Time Off

Employers may expect migrant workers to work excessively long hours and they had no ability to refuse to work those hours.

2.3.4 Control of Movement and Communications

Migrant workers have described situations in which their movements were highly controlled by their employer or agent, even outside of working hours. A number of migrant workers have had their telephones taken away from them when they arrived, or were given limited times to make calls, affecting their ability to communicate with family.

2.3.5 Restriction of Right to Return / Terminate Their Employment Relationship

All of the migrant workers who discovered they had been deceived about the nature and conditions of their employment, or who were mistreated at work, believed they could not leave their positions without having to return home. Some migrant workers specifically asked to terminate their contracts and return home, or to not have their contract renewed when it expired, but their employers forced them to continue.

2.3.6 Violence and Physical Abuse

Migrant workers have reported being beaten by employers, threatened with violence, or witnessing violent acts committed by employers or agents against fellow migrant workers. Other migrant workers, particularly those in factories, suffered beatings if they took time off or did not work fast enough.

The violence by agents or employers was used as a means of control and intimidation of the workers. Even those who witnessed others being hurt described being profoundly shaken and feeling scared to speak up about problems in future.

2.3.7 Sexual Harassment and Gender-Based Violence

Domestic workers are also at risk of other forms of violence, in which they are sexually assaulted by their employers or other household employees.

Sexual abuse of migrant domestic workers is common because they are vulnerable in the employers' home, but few speak up out of shame. There is a lack of reproductive rights and women's healthcare for migrant workers, especially those who are undocumented. Becoming pregnant results in failing the medical examination. Undocumented workers who became pregnant in Malaysia have had to pay high rates at hospitals, and were usually too afraid of arrest to visit a hospital without papers.

2.3.8 Denial of Freedom of Association

All workers, whether citizens or non-citizens, have the right to form, join or participate in the lawful activities of, a trade union. However, the freedom of association is not well-enforced in Malaysia generally. It is estimated that unions cover only eight percent of the workforce, and a much lower percentage of the private sector workforce in which migrant workers are employed.

2.3.9 Workplace Accidents Causing Deaths and Permanent Injuries

Migrant workers have experienced personally or seen fellow migrant workers suffering injuries in work-related accidents.

2.3.10 Inadequate and Unsanitary Accommodation, and Lack of Access to Drinking Water and Food

Migrant workers have described living in inadequate and unsanitary employer-provided accommodation. These daily indignities can cause great stress for individual workers, and may also have health implications linked to lack of nutrition and sanitation and poor quality sleep. Domestic workers are especially vulnerable to these deprivations because they are required to live in their employers' homes.

2.4 Harms at the Hands of Officials: Corruption, Extortion, and Discrimination

2.4.1 Extortion and Police Harassment

Migrant workers have described numerous instances of police extorting money or goods from them in return for not arresting them for immigration offences or not filing charges after arrest. Migrant workers were more vulnerable to such harassment if their passport was held by their employer or agent.

2.4.2 Discrimination against Non-Citizens and Undocumented Migrant Workers

Migrant workers revealed that they viewed themselves as highly vulnerable to abuse and exploitation, that they perceived abuse of migrant workers to be more commonly experienced than by Malaysian workers, and that exploitation of migrant workers was largely tolerated by law enforcement authorities.

In specific instances of perceived discrimination, undocumented workers described either being turned away by police when they sought to report crimes against them because they were undocumented or being too afraid to approach any authority because they were sure they would not be taken seriously. Some felt that petty criminals specifically targeted them because migrants were known not to go to the police.

One international organisation that works to combat discrimination worldwide, noted discrimination against migrant workers "in all areas of life". It found that discrimination was facilitated by discriminatory laws and rights protections, and noted with particular concern violence against migrants by state authorities, inhumane conditions of detention and discrimination in healthcare.[100]

2.4.3 Mistreatment during Arrest and in Immigration Detention

Migrant workers knew of friends or fellow workers who had been arrested, and described even documented workers being arrested. While under arrest, the workers were denied the ability to make a call to let their family and friends know where they were, causing great anxiety among their friends and other migrant workers who feared being "taken" at a moment's notice.

Those arrested decried enduring unsanitary conditions in detention centres, as well as lack of food, denial of medical treatment and verbal abuse from prison guards. The difficulty for migrant workers' families or those assisting them to locate the detained family member has been noted.

[100] Equal Rights Trust in partnership with Tenaganita, *Washing the Tigers: Addressing Discrimination and Inequality in Malaysia*, The Equal Rights Trust: London, 2012, p. XIV.

2.4.4 Denial of Right to a Fair Trial

Some migrant worker who had been prosecuted for immigration violations during their stay in Malaysia were interviewed in their home country after their return. They described the trial as bewildering, that they did not know what charges or the offences they had been convicted of, and they received no legal advice or, in the case of a Nepali migrant worker, translation. All pleaded guilty.

Lawyers are particularly concerned about the treatment of migrant workers before Malaysia's immigration courts, most of which are in immigration detention centres far from urban centres.

2.5 Conclusion: Themes of Abuse and Isolation

Several themes have emerged about the harms migrant workers face that give context to both their experiences and how to address them.

First, harms occur in all sectors which employ migrant workers. Nevertheless, domestic workers were particularly vulnerable to exploitation at work, likely because their movement is restricted and they are isolated from other workers.

Second, both documented and undocumented migrant workers were victims of abuse and labour exploitation as well as other harms. The occurrence or severity of harms did not appear to differ between documented and undocumented migrant workers. However, undocumented workers were particularly vulnerable to abuses because they believed they had nowhere to complain.

Third, the persons named as the duty bearers by migrant workers varied, but employers, agents, and the police were named most often. Other offenders were direct line managers, fellow migrant workers, landlords, managers, or members of the public and of state agents.

Fourth, and related to the above, the harms described by migrant workers were often connected to each other and occurred within a larger context of intimidation and control. Indeed, several experiences described as problematic by migrant workers, such as non-consensual passport retention, control of movement, denying a migrant worker the ability to communicate with family, neglecting to maintain a migrant worker's immigration status, or outright

threats and abuses of power, appeared intended to increase control over the migrant worker and prevent them from "running away" or complaining about their working conditions.

This control, in turn, created an environment of impunity in which more abuse could take place. The only option migrant workers felt they had available to them was to simply leave their place of employment, described as "running away", and try to exist as an undocumented migrant worker, with the greater risk of arrest and deportation that this entailed.

Finally, the abuses suffered by migrant workers also took an enormous longer-term physical and emotional toll on many. Many have described feeling exhausted, sick, hopeless, ashamed, and angry at those who had committed harms and at themselves for "allowing" themselves to be taken advantage of, and in some cases, lingering trauma from their experiences. These feelings of distress followed the workers home and persisted even after some years had passed.

3 Rights of Migrant Workers in Malaysia

The rights of migrant workers in Malaysia are not contained in any single unified law or set of rules. Rather, the standards and rules that address the harms migrant workers experience are found across numerous sources of law, and numerous pieces of legislation.

This chapter outlines the sources of law in Malaysia, and then reviews the legal frameworks governing both immigration and labour, identifying statutory rights of migrant workers and, where available, how Malaysian courts have interpreted these rights. It then considers other laws that may be used by migrant workers to seek redress when they have been harmed or to enforce their contractual rights.

The analysis contained in this chapter is drawn from a review of laws, regulations, and applicable case law, as well as secondary sources. Where reference is made to policy documents, these are based on reports in the media and other sources, as the Government often does not make policies publicly available.

3.1 Sources of Rights

In Malaysia, there are several sources of legal authority that create what is effectively "the law", including the following:

(1) The Federal Constitution: defines the functions of each branch of government, the relationship between the federal government and the states, and fundamental rights of individuals.

Each state in Malaysia also has its own constitution and each state has the ability to pass laws on certain topics. As these relate to local matters, they are not included in the analysis in this Guide;

(2) Federal Statutes: statutes, also called legislation, acts, and laws, are passed by Parliament and consented to by the Yang di-Pertuan Agong;

(3) Case law: decisions handed down by Malaysia's superior courts interpret the scope and meaning of law in individual cases. Their interpretations of the law are legally binding in later cases (called "precedent"); and

(4) Regulations and other administrative sources of law: statutes may authorise administrative agencies to make regulations that provide more detail on the implementation of specific aspects of the law. Ministers and administrative agencies also release orders, policies, circulars, directives, or internal standard operating procedures. Of these, only regulations are automatically public. Most orders, circulars, and policy documents are not publicly available.

3.2 Constitutional Protections for Non-Citizens

Malaysia's Federal Constitution is the supreme law of the land, and any law or policy that is inconsistent with the Constitution may be declared void.[101] Individual protections under the Federal Constitution are contained in nine articles that define constitutional rights, called "Fundamental Liberties". These rights can be summarised as follows:

(1) Article 5: Prohibition on arbitrary deprivation of life or personal liberty;
(2) Article 6: Prohibition on slavery and forced labour;
(3) Article 7: Protection from retrospective criminal laws and repeated trials;
(4) Article 8: (1) Equality before the law and equal protection of the law; and (2) Non-discrimination on the grounds of religion, race, descent, place of birth or gender;
(5) Article 9: Prohibition of banishment, and the right to freedom of movement;
(6) Article 10: The right to freedom of speech and expression, freedom to form associations and freedom of peaceful assembly;
(7) Article 11: Freedom of religion;
(8) Article 12: Rights in respect to education; and
(9) Article 13: Rights to private property.

Malaysian courts have recognised constitutional rights for migrant workers. For example, in the *Taj Mahal* case, the Industrial Court referred to Article 8(1) of the Constitution that guarantees equal protection of the laws, and ruled that this applies to all persons, including migrant workers who work without a work

[101] Federal Constitution, as amended, Article 4(1). Note however that the amendment of the Constitution requires a two-thirds majority vote in the Parliament.

permit or pass. It applied the same approach to the Industrial Relations Act ("IRA") 1967.[102]

Articles 8(2), 9, 10 and 12 are expressed as applying to citizens only. If it is interpreted by the courts that these articles exclude non-citizens, migrant workers would not be constitutionally protected from discrimination based on race, descent, place of birth, religion or gender, and would not have a constitutional right to freedom of speech, to form associations, or to participate in demonstrations.

Further, a proviso to Article 5 creates a different constitutional standard for non-citizens arrested for immigration offences than persons arrested for other offences. In general, all detained persons have a right to be brought before a magistrate within 24 hours of arrest. However, a non-citizen "arrested or detained under the law relating to immigration" can be held for 14 days before they must be presented to a magistrate.[103]

3.3 Rights under the Immigration Act 1959/63 and Regulations

The Immigration Act 1959/63 and regulations contain very few rights for non-citizens. Indeed, the only rights granted to a foreign citizen allow them to appeal decisions in limited instances. These instances include certain decisions regarding refusal of entry, cancellation of a pass, or a deportation decision.[104] These specified appeals may be made only to the Minister and not to a judicial or independent body. The Passports Act 1966, as mentioned previously, prohibits the holding of another person's passport, but this is not expressed as a right to hold one's own passport.

[102] *Ali Salih Khalaf v Taj Mahal Hotel*, Industrial Court of Malaysia, Case No. 22-27/4-1580/12, Award No. 245 of 2014, unpublished.

[103] Federal Constitution, Article 5(4) and its second proviso.

[104] Immigration Act 1959/63, Sections 8(6), 9(8) and 33(2).

From a rights and protections standpoint, several provisions of the Immigration Act 1959/63 may violate the constitutional right to a fair trial or to freedom from arbitrary arrest and detention:

(1) Immigration officials, as well as police and customs officials, can search and arrest any person suspected of violating the Immigration Act 1959/63 without a warrant.[105] This gives broad and unfettered power to the authorities to stop anyone and ask to see their documentation, potentially based on "looking foreign";

(2) Immigration officials can detain any person for an indefinite period when "they are in doubt" as to whether the person entered Malaysia legally;[106] and

(3) Immigration officials can reward any person who assists with the "detection and prosecution" of immigration offences. This allows for ordinary citizens to report suspected undocumented migrants.

3.4 The Labour Law and Industrial Relations Framework — Protections of Workers' Rights

Since 2012, Parliament and the Executive have reformed and modernised the labour law framework to introduce, among other things, a minimum wage, protections against sexual harassment, and maternity leave.[107] The statutes that provide rights to workers in the private sector include:

(1) Employment Act ("EA") 1955;
(2) IRA 1967;
(3) Employees' Minimum Standards of Housing, Accommodations and Amenities Act ("EMSHAAA") 1990; and
(4) Occupational Safety and Health Act ("OSHA") 1994.

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[105] Immigration Act 1959/63, Section 35.

[106] Immigration Act 1959/63, Section 27(1).

[107] See N. R. Mohd Nadzri, "Malaysian Employment Laws: Tracking the Recent Updates", *South East Asian Journal of Contemporary Business, Economics and Law*, Vol. 1, 2012.

Malaysian labour law does not distinguish between citizens and non-citizens and thus all workers have the same entitlements. The Federal Court in the decision of *Assunta Hospital v Dr A. Dutt* confirmed that the citizenship of the worker was of no relevance to a claim for reinstatement of employment under the IRA 1967.[108] With respect to documented and undocumented workers, in practice labour rights can be harder to realise for undocumented migrant workers.

Finally, the rules are essentially the same for employers and employees in all workforce sectors except domestic work. Several statutes wholly or in part exclude domestic workers from their protections, as detailed further in the following section.

3.4.1 EA 1955

The EA 1955 sets labour standards for low wage and manual workers in Peninsular Malaysia and the Federal Territory of Labuan.[109] The Act applies to:

1. Any person, irrespective of his occupation, who has entered into a contract of service with an employer under which such person's wages do not exceed two thousand ringgit a month.

2. Any person who, irrespective of the amount of wages he earns in a month, has entered into a contract of service with an employer in pursuance of which—

    (1) he is engaged in manual labour …,

    (2) he is engaged in the operation or maintenance of any mechanically propelled vehicle operated for the transport of passengers or goods or for reward or for commercial purposes;

[108] [1981] 1 MLJ 115.

[109] EA 1955 [Act 265], Section 2(2). The EA 1955 was extended to the Federal Territory of Labuan in November 2000, via Federal Territory of Labuan (Extension and Modification of Employment Act) Order 2000 [P.U. (A) 400/2000] w.e.f. 1 November 2000.

(3) he supervises or oversees other employees engaged in manual labour employed by the same employer …;

(4) he is engaged in any capacity in any vessel registered in Malaysia and who—
(a) is not an officer …;

(5) he is engaged as a domestic servant.[110]

For the purposes of this definition, wages do not include any "commission, subsistence allowance or overtime payment".

As of 2012, it was estimated that this definition covers 70 percent of the Malaysian workforce.[111]

"Employer" is defined broadly to include "any person who has entered into a contract of service to employ any other person as an employee" and, importantly "includes the agent [or] manager" of that person.[112]

Employers who hire migrant workers must inform the DoL within 14 days of the migrant worker's employment, or 30 days if the employee is a "foreign domestic servant".[113] The employer must also notify the DoL of the termination of the migrant worker, whether through dismissal, repatriation or deportation, expiry of the employment pass, or the migrant worker "absconding from his place of employment".[114] Employers can also be asked to furnish returns of all details related to their migrant worker employees whenever directed by the DoL.[115]

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[110] EA 1955, First Schedule.

[111] N. R. Mohd Nadzri, "Malaysian Employment Laws", *South East Asian Journal of Contemporary Business, Economics and Law*, at p. 156.

[112] EA 1955, Section 2. Note that "factor" is a colonial term similar to an agent.

[113] EA 1955, Sections 57A and 60K(1).

[114] EA 1955, Sections 57B and 60K(3).

[115] EA 1955, Section 60K(2).

3.4.2 Rights under the EA 1955

Employers' obligations to their employees under the EA 1955 are extensive and cannot be set out in full here. This section describes the core provisions regulating issues of concern to migrant workers: contracts, wages, deductions, hours, leave, joining a union, and termination.

The EA 1955 creates administrative remedies for employees whose employment rights are violated. In addition, contravening "any provision of [the Employment Act], or any regulations, order, or other subsidiary legislation whatsoever" is a criminal offence which attracts a maximum fine of RM10,000.[116] Prosecution of criminal offences is discussed in section 4.5. The Contracts Act 1950, which applies to employment contracts, is discussed in section 3.5.1.

Right to a Written Employment Contract and Register

Employees employed for longer than one month are entitled to a written employment contract stating the terms and conditions of work.[117] The contract is not explicitly required to be explained in a language the worker understands and there is no guidance on when a copy of the contract must be provided to the worker.

The terms and conditions in the employment contract must be either as favourable or more favourable to the worker than the rights and entitlements guaranteed by the EA 1955 and subsidiary regulations. The contract must also include a termination clause.[118]

Employers must keep a register for each worker to include: normal hours of work, agreed holiday and leave, wage rates, wages paid, and dates of payment and deductions, to be signed by the worker.[119] The employer must provide the worker with a written copy of the register when they start employment and when any change is made,[120] and must provide written notice of wages with each payment.[121]

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[116] EA 1955, Section 99A.

[117] EA 1955, Section 10(1).

[118] EA 1955, Sections 7 and 7A.

[119] EA 1955, Section 61; Employment Regulations 1957, Regulation 5.

[120] Employment Regulations 1957, Regulation 8.

[121] Employment Regulations 1957, Regulation 9.

Rights regarding Wages and Deductions

Malaysia introduced a minimum wage of RM900 per month in 2012, which came into force for migrant workers in December 2013.[122] On 1 July 2016, the minimum wage was increased to RM1,000 per month.[123] This was increased by the Minimum Wages Order 2020 with effect from 1 February 2020 to RM1,200 per month if the employee works within the area of 16 city councils and 40 municipal councils, and RM1,100 per month otherwise.[124] This wage applies to all employees covered by the EA 1955, except domestic workers who are specifically excluded.[125]

All workers (including domestic workers) must be paid their wages at least monthly and no more than seven days after the end of the wage period.[126] Since 2012, employers have been required to pay wages electronically into a bank account at a Malaysian bank in the employee's name.[127] Employers, therefore, who tell employees their wages are either being sent directly to their home country or held until the end of the contract period are violating the EA 1955.

If the contract ends, the employer must immediately pay the worker all wages due.[128]

Employers can legally deduct money for certain items from an employee's wages up to a maximum of 50 percent of the monthly wage.[129] In most cases, the employer must obtain the consent of the worker and of the DoL to deduct

[122] Minimum Wages Order 2012, Minister of Human Resources, 16 July 2012. The minimum wage for Sabah and Sarawak were set slightly lower at RM800 per month and RM3.85 per hour.

[123] Minimum Wages Order 2016, Minister of Human Resources, 29 April 2016.

[124] Ashley, "New minimum wage gazetted", *The Star Online*, 14 January 2020, tinyurl.com/4zra24nv.

[125] Minimum Wages Order 2016, Section 2.

[126] EA 1955, Sections 18 and 19.

[127] EA 1955, Section 25.

[128] EA 1955, Section 20. There are special rules where the employer terminates the contract for breach by the worker: Section 21.

[129] EA 1955, Section 24(8).

any money from a worker's wages.[130] Allowed deductions (with consent) include insurance, accommodation, food, and payments to third parties but only up to a certain amount.[131]

Any deduction that does not comply with these rules is illegal.[132] These illegal deductions would include amounts deducted by an employer for payments on behalf of the worker to a third party, including recruitment fees to a labour agent, or loan repayments to a bank or credit agency, unless the employer has received a written request from the worker and the employer has the written consent of the DoL.[133]

Hours, Overtime, Time Off, and Annual Leave

All rights regarding hours and leave are contained in Part XII of the EA 1955.

Hours of work means the time during which an employee is at the disposal of an employer.[134] "Normal" working hours are those agreed between worker and employer but are limited to a maximum of:

(1) eight hours a day;
(2) 48 hours per week; and
(3) five consecutive hours before the worker is entitled to a 30-minute break.[135]

Any work conducted after normal hours of work is "overtime".[136] Overtime must be paid at the rate of at least one-and-a-half times normal hourly pay.[137] Employers cannot force an employee to work overtime but employees may

[130] The only deductions that can be made without consent are repayment of excess overtime payments made in the past three months, or repayment of interest free advances of wages. EA 1955, Section 24(2).

[131] EA 1955, Section 24(4).

[132] EA 1955, Section 24(1).

[133] EA 1955, Section 24(4)(c).

[134] EA 1955, Section 60A(9).

[135] EA 1955, Section 60A(1).

[136] EA 1955, Section 60A(3)(b).

[137] EA 1955, Section 60A(3)(a).

consent to work up to a total of 12 hours per day, except in emergency situations.[138] Supplementary regulations limit overtime to 104 hours per month.[139]

Employees are also entitled to one whole day of rest each week.[140] Working on a rest day is not necessarily overtime, but may entitle the employee to additional wages, depending on the type of contract and the number of hours worked.

Finally, all employees are entitled to at least 11 paid days off for public holidays, and between eight and 16 days of annual leave per year.[141] The amount of leave increases the longer the same employer employs the employee.

Sick Leave

The EA 1955 has strong sick leave protections for workers other than domestic workers. It requires that a sick employee be given a free medical examination by a doctor appointed by the employer, or any other doctor in an emergency.[142] If the doctor certifies that the employee should take time off, the employee can take between 14 and 22 days of fully paid sick leave per year, depending on the length of service.[143] If the doctor certifies that the employee should be hospitalised, the employee is entitled to up to 60 days of fully paid sick leave per year.[144]

Freedom of Association

It is illegal under the EA 1955 for employers to include any provision in a contract of service which "restricts the right of any employee" to join a trade union, participate in trade union activities, or associate with other employees for the purpose of organising a trade union.[145]

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[138] EA 1955, Section 60A(7).

[139] Employment (Limitation of Overtime Work) Regulations 1980.

[140] EA 1955, Section 59(1).

[141] EA 1955, Sections 60D and 60E.

[142] EA 1955, Sections 60F(1)(a) and (b).

[143] EA 1955, Section 60F(1)(aa).

[144] EA 1955, Section 60F(1)(bb).

[145] EA 1955, Section 8.

Termination of Employment, Breaches of Contract, and Unfair Dismissal

The EA 1955 provides for five types of employment contract termination:

(1) Termination on expiry of the term of the contract;[146]

(2) Termination with notice by either party. The period of notice must be the same for both parties and is agreed in the contract. If not in the contract, it is at least four weeks.[147] For domestic workers, the standard notice period is less, just 14 days;[148]

(3) Termination for "wilful breach" by either party of any condition of the contract, and by extension the EA 1955.[149] Some actions are automatically considered to be a wilful breach. For example, if the employer fails to pay the worker their wages due under the contract, the employer is deemed to have breached the contract.[150] If a worker fails to come to work for two consecutive days without reasonable excuse, he or she is deemed to be breaching the contract;[151]

(4) Termination by the employee without notice if they are immediately threatened with danger, violence or disease at work, and the employee had not agreed to these risks in the contract of service;[152] and

(5) Termination by the employer for misconduct, namely conduct that is "inconsistent with an express or implied term" of the contract of service.[153] To do so, the employer may first suspend the employee and conduct an inquiry for a maximum of two weeks. If the misconduct is not proven, the employee must be able to return to work.[154]

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[146] EA 1955, Section 11(1).

[147] EA 1955, Section 12.

[148] EA 1955, Section 57.

[149] EA 1955, Section 13(2). The contract is deemed to include rights under the EA 1955, which are more favourable than the written contract: EA 1955, Sections 7 and 7A.

[150] EA 1955, Section 15(1).

[151] EA 1955, Section 15(2).

[152] EA 1955, Section 14(3).

[153] EA 1955, Section 14(1).

[154] EA 1955, Section 14(2).

Terminated employees have a right to termination benefits of between 10- and 20-days' wages (depending on tenure) if they have been employed by the employer for at least 12 months, and where the employer or worker terminated employment on grounds other than retirement, resignation, or misconduct, or due to wilful breach by the employer.[155]

If the migrant worker's contract is terminated for any reason, the employer must notify the DoL within 30 days. The employer can also call the Immigration Department, which may cancel the migrant workers work permit immediately. The EA 1955 does not control the Immigration Department's power to do this, even in the case of termination by the worker for wilful breach by their employer.

Discrimination for Being a Migrant Worker

The EA 1955 makes discrimination between local and migrant workers "in respect of the terms and conditions" of employment grounds for a complaint to the DoL. The DoL may give directives to the employer to "resolve the matter".[156]

3.4.3 IRA 1967

The IRA 1967 regulates the relationship between employers, employees and their trade unions. This includes setting collective bargaining rules, and procedures for handling trade disputes. The IRA 1967 also guarantees workers freedom of association, namely:

(1) workers have the right to form or join a trade union and to "participate in its lawful activities", and "no person shall interfere with, restrain, or coerce" a worker in respect to trade union activities;[157]

(2) employer federations must not interfere with "the establishment, functioning or administration" of a trade union;[158] and

[155] Employment (Termination and Lay-Off Benefits) Regulations 1980, Regulations 4 and 6. Absenteeism counts as misconduct, so an employee terminated for this reason will not be entitled to termination benefits. See *Royal Selangor Club v. Devagi Karpeya* [2010] 10 CLJ 500.

[156] EA 1955, Section 60L.

[157] IRA 1967, Section 4(1).

[158] IRA 1967, Section 4(2).

(3) employers cannot include conditions in employment contracts restraining a worker from joining a union, they cannot dismiss a worker for joining a trade union, or discriminate against workers in employment, promotions, or conditions of employment because they are union members.[159]

Migrant workers are not excluded from the above rights. However, the Trade Unions Act 1959, which governs management of trade unions, prohibits non-citizens from holding office in or being employed as staff of a trade union.[160] The Minister has power to lift this ban.[161]

Trade unions can negotiate terms of employment with employers on behalf of their members — a process known as collective bargaining. A collective agreement covers all workers in the enterprise, regardless of whether they are union members. Employers have at times sought to exclude migrant workers from collective agreements, but the Industrial Court has held that a collective agreement covers all workers equally.

In addition, the IRA 1967 gives individual workers a remedy if they believe they have been unfairly dismissed, including reinstatement or compensation in lieu of reinstatement.[162] The compensation available to workers under the IRA 1967 is significantly greater than the termination benefits payable under the EA 1955.

3.4.4 EMSHAAA 1990

Workers who are provided housing in relation to their employment are protected by the EMSHAAA 1990.

The Act "prescribe[s] the minimum standards of housing and nurseries for workers and their dependents".[163] The Act applies to any building used by an employer for the housing of workers.[164] In these buildings, the employer must

[159] IRA 1967, Section 5.

[160] Trade Unions Act 1959, Sections 28(1)(a) and 29(2)(a).

[161] Trade Unions Act 1959, Section 30.

[162] IRA 1967, Section 20.

[163] EMSHAAA 1990, Preamble.

[164] EMSHAAA 1990, Section 5(1).

ensure, among other things, "free and adequate" running water, adequate electricity and that the buildings are "kept in a good state of repair".[165] Employers must also provide "health, hospital, medical and social amenities" to workers.[166]

New regulations came into force with effect from 1 September 2020 but their implementation was suspended due to the COVID-19 pandemic.

3.4.5 OSHA 1994

The OSHA 1994 was enacted "for securing the safety, health and welfare of persons at work", and protecting others from unsafe work practices.[167] It applies to all sectors, and does not exclude domestic workers. The Act makes it a duty of employers to create safe and healthy workplaces, including, among other things to:

(1) provide and maintain plant and systems of work that are safe;

(2) provide instructions and training to workers on safety and health; and

(3) formulate health and safety policies.[168]

Violations of the OSHA 1994 are criminal offences, and the penalties are more severe than penalties for violating the EA 1955. Under the OSHA 1994, employers can be fined up to RM50,000 and imprisoned for up to two years, or both, for failing in their duties.[169] However, the OSHA 1994 neither articulates an enforceable right to a safe and healthy workplace, nor does it provide an explicit procedure for a worker to file a complaint and receive a remedy for health and safety violations.

[165] EMSHAAA 1990, Section 6(1).

[166] EMSHAAA 1990, Part III.

[167] OSHA 1994 [Act 514], Preamble.

[168] OSHA 1994, Section 15(2).

[169] OSHA 1994, Section 19.

3.5 Other Sources of Rights

In addition to laws that specifically address immigration and employment, Malaysia has other laws which provide important rights and obligations for all persons in Malaysia, including migrant workers and their employers. Some of the most important of these for protecting migrant worker rights are the laws regarding contract, tort, and criminal law which includes laws criminalising trafficking in persons.

3.5.1 Contracts Act 1950

The Contracts Act 1950 governs any kind of lawful agreement between two or more parties that is made for an exchange of promises, and is agreed to with "the free consent of parties".[170] This includes employment contracts between employers and migrant workers, including migrant domestic workers.

Contract law is a large field, but the following provisions of the Contracts Act 1950 are of particular relevance to migrant workers.

First, a contract is only enforceable if the parties freely consent to the terms of the contract. Where a migrant worker was deceived or misled during recruitment about the nature and conditions of work, or was coerced or unduly influenced by someone in a position of authority to sign the contract, the worker has the right to treat the contract as void.[171]

If an employer does not comply with the terms of an employment contract, the employee can claim breach.[172] Because of a breach of contract, the injured party is entitled to receive compensation for loss or damages caused by the breach.[173] This applies to oral contracts as well as written contracts, and even, in certain circumstances, to written contracts that the worker has not seen. In the *Chin Well Fasteners*[174] case, the Court found that an employer had breached an

[170] Contracts Act 1950 [Act 136], Section 10(1).

[171] Contracts Act 1950, Section 19.

[172] Contracts Act 1950, Part VII.

[173] Contracts Act 1950, Section 74(1).

[174] *Chin Well Fasteners Co Sdn Bhd v Sampath Kumar Vellingiri & Ors* [2006] 1 MLJ 117.

employment contract that had been approved by the Indian Embassy, but that the workers themselves had not seen.

Finally, the Contracts Act 1950 clarifies the effect of promises made by agents to migrant workers. It defines an "agent" is any person or company, employed to act for or represent another in dealings with a third party. The person who employs the agent is called the "principal".[175] The principal is responsible for upholding the terms of any agreement that the agent makes within the scope of the agent's authority.

On this basis, employer companies can be held liable for promises made by their agents to migrant workers or others during recruitment, even if the employer later disavows those promises. For example, in the *MMC Power* case of 2001, the Court of Appeal found an employer liable for promises its agent had made to an overseas recruitment agency.[176] In that case, the MMC Power Company used an agent to negotiate with two Filipino recruiters (the plaintiffs) for the recruitment of 490 workers. The agent flew to the Philippines for the negotiations, and as a part of the agreement, promised the plaintiffs that MMC Power would pay each recruited worker's airfare to Malaysia.

However, after the plaintiffs had recruited 121 workers, the employer refused to send the tickets. The employer argued that the agent had acted outside the scope of his authority when promising the airfares. The Court of Appeal disagreed. It found that the employer had clearly represented the agent to the plaintiffs as someone with authority to negotiate. Therefore, the employer must fulfil the terms the agent had negotiated.

Most migrant worker contracts provide that the employer is responsible for complying with immigrations formalities and paying the levy. Non-compliance is a prevalent complaint among migrant workers, which may also be remedied by a claim for breach of contract.

[175] Contracts Act 1950, Section 35.

[176] *MMC Power Sdn Bhd & Anor v Abdul Fattah B Mogawan & Anor* [2001] 1MLJ 169.

3.5.2 Civil Law Act 1956 and the Law of Torts

There are a variety of torts, but the most relevant to the problems faced by migrant workers is that of negligence. Common examples of negligence are reckless driving that leads to an accident, or unsafe facilities that cause a person to fall and suffer an injury.

Claims of negligence can offer the claimant a wide range of remedies. Plaintiffs can claim compensation for lost wages since the injury, future lost wages if the injury causes permanent disability, pain and suffering caused by the injury, and punitive damages if the actions of the other party were particularly extreme.

3.5.3 Penal Code and Criminal Procedure Code

The Penal Code defines criminal offences in Malaysia, and sets guidelines for punishment.[177] Several Penal Code offences apply to the harms that migrant workers experience when migrating to or working in Malaysia, as set out in Table 3.

The Criminal Procedure Code ("CPC") regulates investigation of crimes, searches and seizures, prosecution of an accused, and the trial and punishment of offences.[178]

[177] Originally enacted in 1936 by the British for the Federated Malay States. In 1976, the Government consolidated the separate laws of Peninsular Malaysia, Sabah and Sarawak into one national Penal Code.

[178] CPC enacted throughout Malaysia on 10 January 1976.

Table 3 | Select Offences and Penalties under the Penal Code

Section	Offence	Description	Penalty
321	Voluntarily causing hurt or grievous hurt	Intentionally causing bodily pain, disease or infirmity to another. If the hurt results in permanent injury, disfigurement, or endangers life, it is "grievous hurt".	Maximum of one year imprisonment for hurt. Grievous hurt is punishable with up to seven years' imprisonment and a fine.
370, 371	Slavery	Importing, exporting, buying or disposing of a slave.	Maximum sentence of seven years and a fine. Habitually dealing or trafficking in slaves is punishable of up to 20 years' imprisonment and a fine.
374	Unlawful compulsory labour	Compelling a person to work against their will.	Up to one year imprisonment, a fine, or both.
375	Rape	Sexual intercourse by a man with a woman against her will or without her consent.	Imprisonment for between five and 20 years, and whipping.
378	Theft	Dishonestly taking property out of the possession of a person without their consent.	Maximum seven years' imprisonment or fine or both. For a second offence, the offender will be imprisoned, fined and whipped.
383	Extortion	Threatening a person with any injury to induce the person out of fear to deliver their personal property.	Imprisonment for up to 10 years, a fine or whipping, or any two of those punishments.

390	Robbery	A form of theft (when the thief restrains, hurts or threatens to hurt the victim) or extortion (when the offender is in the presence of the victim when he makes the threat of injury/death).	Imprisonment for up to 10 years and a fine. If committed at night, the punishment is a maximum of 14 years and a fine or whipping.
405	Criminal breach of trust	Misappropriating or disposing of any property that has been entrusted to the offender.	Imprisonment for between one and 10 years, and a fine, and whipping.
415	Cheating	Using deceit to "fraudulently or dishonestly" induce a person to part with her property or to do something that causes her damage or harm.	A maximum of five years' imprisonment, or a fine, or both.

3.6 Migrant Workers' Rights under International Law in Malaysia

Malaysia has signed and ratified several international human rights and labour rights conventions. It also participates in regional efforts towards migrant worker protection and empowerment.

International and regional human rights and labour agreements are binding on Malaysia as a matter of international law, and all have some form of supervisory mechanism that requires Malaysia to report its progress toward implementation of its obligations.

International law does not automatically have full effect in the national law of Malaysia, whereby a person in Malaysia could seek a remedy for a violation of their international rights through Malaysia's courts. The Executive makes international treaties, while Parliament makes national or domestic law.[179] The

[179] Articles 39 and 74 of the Federal Constitution and *AirAsia Bhd v Rafizah Shima bt Mohamed Aris* [2014] 5 MLJ 318, para 43.

Court of Appeal of Malaysia has held that in this "dualist" system, "The practice in Malaysia with regard to the application of international law is generally the same as that in Britain."[180]

In Britain, international law has effect in national law in two ways. First, through express incorporation, when national law states that an international law has effect in national law.[181] Second, through the interpretation of national law in light of international obligations.[182]

For example, the British Court of Appeal has stated that "Treaties and declarations do not become part of our law until they are made law by Parliament", but held that "if there is any ambiguity in our statutes, or uncertainty in our law, then these courts can look to the [European Convention of Human Rights] as an aid to clear up the ambiguity and uncertainty".[183] The Australian courts have gone further and held that "A statute is to be interpreted and applied, as far as its language permits, so that it is in conformity and not in conflict with the established rules of international law".[184]

The Malaysian courts have also used Malaysia's international law obligations to interpret national law in some constitutional cases. In 2012, the High Court in the *Noorfadilla* case, considered the scope of Article 8(2) Constitutional Prohibition of Gender Discrimination in Public Employment in light of Malaysia's obligations under the Convention on the Elimination of All Forms of Discrimination Against Women ("CEDAW"). The bar on gender discrimination had in fact been added to Article 8(2) following Malaysia's ratification of CEDAW. The High Court ruled that

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[180] *AirAsia Bhd v Rafizah Shima bt Mohamed Aris* [2014] 5 MLJ 318, para 41.

[181] For example, the Geneva Conventions Act 1962, which gives full effect in Malaysian law to the 1949 Geneva Conventions on the Protection of Victims of War.

[182] A. G. Hamid and M. S. Khin, "Judicial Application of International Law in Malaysia, an Analysis", 1 APYIHL 196, 2005, note 34, tinyurl.com/zu2sewdk (last accessed on 26 October 2015).

[183] Lord Denning, Court of Appeal of England & Wales, in *R. v. Chief Immigration Officer, Heathrow Airport ex p Salamat Bibi* [1976] 1 WLR 979 approved by Lord Ackner, in House of Lords in *R v Secretary of State for the Home Department, ex p. Brind* [1991] UKHL 4.

[184] High Court of Australia, *Minister for Immigration and Ethnic Affairs v Teoh* (1995) 128 ALR 353.

gender discrimination in public employment, considered with CEDAW Article 11, includes discrimination on grounds of pregnancy.[185]

The 2014 *AirAsia* case concerned an airline employee dismissed on grounds of pregnancy. She argued that the *Noorfadilla* case decided that CEDAW itself has the force of law in Malaysia. The Court of Appeal rejected this interpretation of the *Noorfadilla* case, ruling that Article 8(2) does not apply to a private employer, and that CEDAW had not been explicitly incorporated and could not be relied upon directly as part of Malaysian law.[186] In September 2016, the Malaysian Government notified the CEDAW Committee that the *Noorfadilla* judgment was a "landmark judgment"[187] and a step by "the Malaysian Judiciary … to affirm Malaysia's obligations" under CEDAW.[188]

Malaysia's international obligations are relevant to policy advocacy, and to the interpretation of national law in cases brought by individual migrant workers in Malaysian courts, but international law is not otherwise directly enforceable.

3.6.1 MoUs on Recruitment and Employment of Migrant Workers

Malaysia has signed non-binding MoUs on the recruitment and employment of migrant workers with eight countries of origin (Bangladesh, Cambodia, India, Indonesia, Pakistan, the Philippines, Thailand, and Vietnam).[189] An MoU is a document that expresses the intentions of the parties where the parties do not wish to assume legally binding obligations.[190]

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[185] *Noorfadilla bt Ahmad Saikin v Chayed bin Basirun & Ors* [2012] 1 MLJ 832.

[186] *AirAsia Bhd v Rafizah Shima bt Mohamed Aris* [2014] 5 MLJ 318. Article 8(2) refers explicitly to "discrimination against citizens on the ground only of … gender in any law or in the appointment to any office or employment under a public authority or in the administration of any law …" It does not mention employment by a private body.

[187] Malaysian Government, combined third to fifth periodic reports of States parties due in 2012, paras 109–111, available at tbinternet.ohchr.org/Treaties/CEDAW/Shared%20Documents/MYS/CEDAW_C_MYS_3-5_5972_E.pdf.

[188] "Malaysian Government's Response to the CEDAW Committee's Concluding Comments on Malaysia's Initial and Second Periodic Report", 2016, tinyurl.com/4fvetk9d.

[189] International Labour Organization Asia Pacific Migration Network, *MOUs for Malaysia*, http://apmigration.ilo.org/country-profiles/mou_list?country=MY.

[190] Victorian Government Solicitors Office, http://vgso.vic.gov.au/content/memoranda-understanding#definition (last accessed on 3 October 2016).

The MoUs were negotiated largely in secret by the MOHR and are not publicly available in Malaysia. Thirteen agreements are available on the International Labour Organization ("ILO")'s website.[191]

It is unclear how the MoUs are enforced, or even how they are domestically implemented, except that implementation is the responsibility of joint working groups established under the MoU.[192] Their non-binding nature requires that disputes are resolved by negotiation.

3.7 Summary: Rights Protections and Gaps for Migrant Workers in Malaysia

Malaysia's legal framework protects workers in Malaysia, including migrant workers, against many of the harms migrant workers experience. Protections include rights at work to wages, reasonable hours of work and regular time off, to form and join a union, and to a fair employment termination process. Civil and criminal laws also provide remedies for cheating and fraud during recruitment, for physical and sexual abuse, forced labour and human trafficking. The courts have supported and asserted migrant workers' rights at work and in dealings with agents.

International law further obliges Malaysia to take steps toward protection of women workers, child workers and workers who seek to organise, among others.

Yet, the legal framework also has significant gaps in protection. Specific gaps identified in this chapter include:

(1) **Limited rights of domestic workers:** Domestic workers are excluded from provisions of the EA 1955 in respect to hours and leave, and from the minimum wage;

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[191] ILO Asia Pacific Migration Network, *MOUs for Malaysia*, https://apmigration.ilo.org/country-profiles/mou_list?country=MY (last accessed on 2 August 2021).

[192] The agreements are usually signed by the Minister for Human Resources. However, an earlier Exchange Note from 1999 with Cambodia was signed by an official of the National Registration Department and Immigration Division in the MOHA. Similarly the 2006 agreement with Indonesia was pursuant to the minutes of a Joint Committee on Bilateral Cooperation.

(2) **Lack of protections for workers who file a claim against their employer:** The law does not provide any protection to workers whom are retaliated against by employers for filing a claim or complaint, such as reduction of hours or responsibilities. There is also nothing in the law preventing the Immigration Department from cancelling a worker's pass on behalf of an employer retaliating against a worker for complaining;

(3) **No clearly stated right to hold one's own passport** and no clear authority for facilitating the return of a passport. The ambiguity in respect to holding a passport facilitates passport removal and retention by employers;

(4) **Lack of protections from discrimination:** Some constitutional anti-discrimination provisions do not explicitly cover non-citizens. The Constitution in fact enshrines discriminatory treatment between those detained for general offences and those detained under immigration powers; and

(5) **Lack of protections for a worker regarding their work permit:** Migrant workers currently have no avenue in the immigration system to complain about or compel an employer or agent to fulfil their responsibilities regarding a worker's pass or payment of the levy.

4 Remedies and Redress Strategies Available to Migrant Workers

This chapter outlines the key mechanisms and pathways available in Malaysia to enforce rights and obligations. It is not a list of all potential pathways to justice, but the Bar Council Malaysia and other stakeholders have identified the following institutions as either most commonly used by migrant workers, or having most potential to address migrant worker harms:

(1) Labour Court, an administrative forum that adjudicates disputes over wages;
(2) Other remedies under the EA 1955;
(3) The Industrial Court and Department of Industrial Relations, which adjudicate complaints of unfair dismissal;
(4) Civil courts; and
(5) Criminal justice system.

For each of the above, what follows is a review of the authority and powers of the relevant institutions, and the procedures for seeking redress as written in relevant laws and regulations or as described by government officials or legal experts.

Please note that the area of social security and compensation will not be dealt with in this Guide. For more information on this area, and how it may be applicable to a migrant worker, please refer to the Bar Council Malaysia's publication *Migrant Workers' Access to Justice: Malaysia*.

In addition, there is an assessment of the accessibility of the mechanism, fairness of the procedures and justness of outcomes based on the qualitative experiences of migrant workers, civil society organisations and other stakeholders, as well as government data and academic scholarship, where available.

Some migrant workers had sought redress through a state-based mechanism. Others attempted to resolve disputes with employers and others privately. A description of this approach is included at the end of this chapter.

4.1 Overview: Institutions with Responsibility for Enforcement of Rights

The redress mechanisms discussed in this section all fall under the purview of the MOHR and the Attorney General's Chambers.

4.1.1 MOHR[193]

The MOHR is responsible for national policies on labour and human resources; the employment of local and foreign workers; and numerous other functions regarding the workplace and workforce. As well as overseeing administration of national laws governing the workplace, it is charged with implementing international labour conventions, and discussing labour issues at regional and international fora.

The MOHR does not have a specific migrant worker division or department, but all departments must address migrant workers to some degree. Key departments include the following:

(1) The DoL is charged with administering, implementing, and promoting labour standards in Malaysia, through 11 pieces of legislation, most notably the EA 1955, as well as minimum wage rules. The DoL is headed by a Director General and has offices at national, state and district levels in Peninsular Malaysia;

(2) The Department of Industrial Relations is headquartered in Putrajaya and has offices in every state in Malaysia. It is responsible for administering the IRA 1967, including prosecuting violations of the Act and "handling and resolving" representations for reinstatement (claims of unfair dismissal). The Department of Industrial Relations has a unit for conciliation in reinstatement cases. It describes itself as a "peacemaker … to promote cordial and sound industrial relations";[194]

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[193] The functions of the ministry and departments are drawn from the Ministerial Functions Act 1969.

[194] "The Department of Industrial Relations Malaysia (Ministry of Human Resource): An Introduction in Brief", presentation slides, 22 May 2009, http://www.iium.edu.my/kurnia/MOHR.pdf.

(3) The Industrial Court is an arbitration tribunal that adjudicates trade disputes and representations for reinstatement under the IRA 1967. It sits in Penang, Ipoh, Kuala Lumpur, Johor Bahru, and Sabah and in each location is led by a President, Registrar, and Deputy Registrar.[195] The President and Chairmen must be lawyers and can preside over cases. Decisions of the Industrial Court (called awards) are supervised by the High Court; and

(4) The Department of Occupational Safety and Health is responsible for all laws regarding safety and health in the workplace, including the OSHA 1994 and legislation on specific industries.

Other ministries with specific responsibilities related to migrant workers include the Ministry of Women, Family and Community Development, which aids trafficked persons; and the Ministry of Health, which oversees medical examinations and medical insurance for migrant workers.

4.2 Labour Court and Other Forms of Redress at the DoL

Many problems reported by migrant workers amount to violations of labour standards, and accordingly can be addressed by the DoL. This section reviews three mechanisms by which DoL officers enforce the EA 1955: wage complaints in the Labour Court, criminal prosecutions, and inspections.

The EA 1955 and the DoL provide essential remedies to migrant workers for harms suffered at work. Officers appear to investigate and decide cases in a balanced manner and were generally viewed favourably. However, awareness and use of this mechanism by migrant workers is extremely limited. The DoL is understaffed, which limits its ability to act proactively to identify and address systemic labour violations in Malaysia. Further, it has no specialised unit for handling migrant worker complaints, or staff selected for fluency in migrant worker languages. It does not do outreach to migrant worker communities, or indeed to workers in general, or otherwise make its services known.

[195] The Industrial Court is located in Kuala Lumpur, Johore, Penang and Perak in Peninsular Malaysia, and Sabah and Sarawak, http://www.mp.gov.my/en/about-us/top-management.

4.2.1 Complaints and Inquiries Regarding Wages and Other Payments Due (Labour Court)

Complaints and Inquiries: Jurisdiction and Powers

The principal redress mechanism available to workers whose wages or other monies due are unpaid, is the "Complaints and Inquiries" powers of the DoL, under Part XV of the EA 1955. This mechanism is commonly called the "Labour Court" (*Mahkamah Buruh* in Bahasa Malaysia) although it is an administrative rather than judicial process, overseen by labour officers rather than judges. All labour officers receive basic training in the relevant laws and their duties, and all must attend at least seven days of ongoing training per year, but they do not necessarily have legal training. They also do not receive specific training on migrant workers.

Part XV empowers the DoL to decide disputes over wages between employers and employees, including independent contractors or sub-contractors (see section 69(1) of the EA 1955).

The DoL can receive complaints regarding wages or other payments due under the employment contract, the EA 1955, or minimum wage orders.[196]

Jurisdiction is limited to complaints from workers earning up to RM5,000 per month,[197] which covers all migrant workers. The monies claimed can be of any amount; there is no minimum or maximum claim.

The powers of the officer inquiring into a complaint under Part XV are to:[198]

(1) make an order for the employer to pay the worker "such sum of money as [the officer] deems just";

(2) investigate and confirm or set aside the termination of employment of a worker on grounds of misconduct and order payment of wages, but not reinstatement; and

[196] EA 1955, Section 69(1).

[197] EA 1955, Section 69B(1).

[198] EA 1955, Sections 69(1)–(3).

(3) make any consequential orders needed to give effect to the decision.

Labour officers do not have explicit powers to inquire into and make orders regarding other concerns for migrant workers in the workplace, such as the withholding of passports, or payment of a return flight. The exception is if these items can be considered breaches of the employment contract or the parties address them in negotiations.

Complaints and Inquiries: Procedure

The procedure for the lodging and resolution of complaints is set out in Section 70 of the EA 1955. In summary, it requires the complainant to make an in-person or written complaint at a DoL office. A DoL officer will receive the complaint and has discretion whether to investigate and to order a hearing. The parties, and any witnesses they wish to speak on their behalf, are entitled to attend the hearing. The DoL may summon the employer and other persons to attend the hearing.[199]

Other sections of the EA 1955 make it a criminal offence for a person summoned to the hearing by the DoL to fail to attend,[200] as the standard form of summons states.[201] It is also a criminal offence for an employer to stop, or try to stop, a worker attending the DoL to make a complaint or attend a hearing.[202]

The hearing will result in a decision and orders by the officer, which are issued to the parties.[203] No reasons are given for a decision unless a party later files an appeal. If the employer fails to attend a scheduled hearing, Section 70(h) empowers the labour officer to make an order in their absence, like a default judgment.

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[199] EA 1955, Section 70: Procedure in Director General's inquiry; Section 74: No fee is chargeable; Sections 74(2), 82: For issue and service of the summons; Section 83 and also Employment (Procedure – Reciprocal Provisions) Regulations 1957: A summons can be issued to and enforced on an employer in Singapore.

[200] EA 1955, Sections 80, 101.

[201] Forms A and B in the Fourth Schedule of the Employment Regulations 1957.

[202] EA 1955, Section 99.

[203] EA 1955, Section 69D.

Orders of the DoL under Part XV are not published. However, "any person interested in such decision" is entitled to a free copy of the orders, and can receive a copy of the record of the case upon payment of a fee.[204]

Regulations under the Act only prescribe the forms, and do not provide further procedural detail.[205]

In practice, labour officers first seek to resolve disputes informally by discussing the matter with the parties by telephone, or holding procedural hearings, called "mentions". At a mention, the parties have an opportunity to resolve the dispute in the presence of the labour officer. The role of the officer at a mention is not defined in law, for example whether they can actively mediate, or may only observe. Interviewees said that most labour officers refrain from intervening except to clarify the requirements of the EA 1955 to the parties. Where the labour officer approves a negotiated settlement, the officer makes an order in those terms, which can be enforced in the same way as a decision.[206]

If a migrant worker does not attend a mention or hearing, the labour officer will likely deem the complaint withdrawn. If the employer does not attend, the labour officer may make orders in default, namely in favour of the worker. Sometimes if the employer does not cooperate, the embassy itself will sometimes request the police to arrest the employer and force them to attend, but the legal basis for such action is not clear unless the employer is being prosecuted.

[204] EA 1955, Section 71.

[205] Section 102 of the EA 1955 gives the Minister of Human Resource the general authority to make regulations "giving full effect to the provisions of [the] Act, or for the further, better or more convenient implementation of [its] provisions". The only relevant regulations are the Employment Regulations 1957, as amended.

[206] Employment Regulations 1957 prescribes Form C for an Order under Section 69 of the EA 1955. DoL uses Form C for all Orders.

Effectiveness of the Complaints and Inquiries Process for Providing Redress to Migrant Workers

Awareness and Accessibility of the Mechanism

The DoL has sought to make the Labour Court accessible to low-wage workers. Complaints can be submitted at the DoL offices in every state free of charge. A written complaint can be submitted by letter or email, and in-person complaints can be made by visiting a DoL office or making a telephone call to the Department hotline, called Telekerja. Parties to a dispute cannot be represented by a lawyer, although they may seek assistance of a trade union or employer's representative (as in the Industrial Court).

However, few migrant workers lodge complaints at the DoL to resolve disputes over wages. The low number of complaints could be attributed mainly to low awareness of the Labour Court among migrant workers. The DoL does not conduct outreach programmes to migrant worker workplaces or community centres, and does not provide information at airports or other locations. It also does not conduct outreach beyond its website. The webpage describing the complaints procedure is only available in Bahasa Malaysia, Hindi and Mandarin — not in English or any other major migrant worker languages such as Bengali, Nepali, Khmer, or Thai. Similarly the telephone hotline is not available in key migrant worker languages.

Workers who may be aware of the Labour Court and wish to file a complaint may be prevented by procedural barriers. In particular, the DoL states that several "supporting documents" are "required" to file a complaint:

(1) The worker's passport;

(2) A copy of the employment contract;

(3) A payment slip;

(4) Arrival card (indicating date of arrival in Malaysia);

(5) Employment termination letter (if applicable); and

(6) Any other contract-related documents.[207]

The legal basis for requiring these documents to be submitted with a claim is not stated on the website. As the EA 1955 only refers to the submission of a written or oral statement for an inquiry to be commenced,[208] it is possible that requiring these evidentiary documents as a precondition to filing a complaint is inconsistent with the law.

These requirements restrict the Labour Court to migrant workers who hold their passport and contract, and documentation supporting their case. For many migrant workers, particularly those who have fled their employers in distress, this is impossible.

Some migrant workers who had made a complaint to the DoL for unpaid wages were assisted by an NGO, which helped them to gather the supporting documents.

Another barrier to filing the claim is the need for the worker to attend all mentions and the hearing. Section 70 indicates that the worker can give a statement on oath as "soon as practicable" after the complaint is filed. But in practice, according to those familiar with the process, this statement is not given until the hearing. Leaving Malaysia but coming back for each date at the Labour Court is financially difficult for most migrant workers.

Other migrant workers who were still employed expressed fear about making a claim in case their employer terminated their services — the EA 1955 does not include any specific anti-retaliation penalties for employers who terminate the services or otherwise punish a worker for filing a wage claim. Although it may be possible for an employment-terminated worker to claim termination benefits under the EA 1955, or unfair dismissal at the Industrial Court, any work permit may be cancelled immediately, before any order for reinstatement is made.

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[207] MOHR (Bahasa Malaysia site), "Aduan Buruh: Tatacara Membuat Aduan", http://jtksm.mohr.gov.my/index.php/my/majikan-dan-pekerja/aduan-buruh#3-tatacara-membuat-aduan (last updated 17 December 2013).

[208] EA 1955, Section 70(a).

Transparency and Efficiency of Procedures

Most civil society organisations who represented migrant workers at the DoL felt that labour officers were fair in their approach, and helpful to migrant workers.

Migrant workers who filed claims and attended mentions and, in some cases, hearings, noted that the most difficult aspect of the process was the uncertainty about whether it would be resolved before their work permit or pass was cancelled or expired. Service providers said that employers frequently postpone or delay proceedings until the migrant worker can no longer legally stay in Malaysia, forcing them to abandon or withdraw the complaint.

The MOHR figures suggest that labour cases are in fact handled expeditiously and within the target timeline. Of those settled by negotiation, the average length of time from filing to settlement is 34 days. Cases that proceed to a hearing take, on average, 84 days to resolve. Although faster than a civil trial, this may still be too long for a migrant worker who cannot work and relies on renewals of their Special Pass to stay in the country.

Another challenge is that the EA 1955 does not make provision for punishing egregious cases of labour violations. Some labour officers may refer extreme cases to the police for investigation of trafficking, but such a referral is not required.

Outcome of Cases

The Minister of Human Resources has informed Parliament that just under half of complaints filed by migrant workers are resolved through negotiation at the mention stage of the proceedings. Around 20 percent of filed complaints proceed to a hearing. Of these, around 85 percent are decided in favour of the worker, and 15 percent of cases are dismissed or decided in favour of the employer and/or agent.[209]

[209] Oral responses to parliamentary questions submitted by YB Puan Dr Hajah Siti Mariah bt Mahmud, 9 November 2015, Majlis Mesyuarat Dewan Rakyat, Putrajaya.

Almost 40 percent (38 percent) of cases are withdrawn by the migrant worker, or dismissed because the migrant worker failed to attend the hearing. Stakeholders believed that withdrawal or failure to attend usually occurs when the migrant worker can no longer stay in Malaysia because their pass has expired. Cases can also be withdrawn if the parties come to a settlement outside of the Labour Court process.

In some cases, a settlement was reached, and a consent order recorded. Other cases were more difficult, usually because the employer was unwilling to cooperate. Eventually the worker had to leave the country, and so withdrew or abandoned the complaint.

Appeals and Enforcement of Decisions

Either party has the right to appeal a decision or agreement recorded by the DoL by filing an appeal in the High Court of Malaya. The procedure for filing the appeal is the same as for filing a civil appeal from a subordinate court.[210]

Enforcement of labour officer orders is also undertaken by the courts, following a reference by the labour officer who signed the orders. If a party does not comply with the order, and does not appeal, the labour officer can send a certified copy of the order to a court for enforcement. The order will be sent either to a Sessions Court or First Class Magistrates' Court, and the court will enforce the order as if it was a judgment of the court.[211] All monies recovered, minus the costs, charges and expenses of enforcing the order will then be paid to the DoL to pay to the worker.[212]

Finally, labour officers have the option to prosecute an employer for failing to comply with an order of a labour officer, which is an offence punishable with a fine of up to RM10,000, and a penalty of RM100 per day for every day the offence continues after conviction.[213]

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[210] EA 1955, Section 77.

[211] EA 1955, Section 75.

[212] Rules of Court 2012, Order 86A, Rule 7.

[213] EA 1955, Section 69E.

4.2.2 Labour Inspections

Another enforcement mechanism available under the EA 1955 is an inspection of a worksite. Malaysia is a party to the ILO Labour Inspection Convention 1947 (No 81), which requires Malaysia to "maintain a system of labour inspection in industrial workplaces".[214] A labour inspection, under international law, is intended to "secure the enforcement of the [law] related to conditions of work and protection of workers", to provide information and advice to employers, and notify the department if abuses are occurring.[215]

Accordingly, the EA 1955 gives the Director General of the DoL broad powers to enter and inspect all places of employment. Under Malaysian law, this is not limited to industrial workplaces. The DoL can order an inspection without notice at any time, "where [the labour officer] has reasonable grounds for believing that employees are employed" and to "make any inquiry which he considers necessary in relation to any matter within the provisions of this Act".[216] The officer does not have to suspect any violations of the law, although this is often the basis for an inspection.

The officer can also access company records and books, and can ask questions of any person believed "to be acquainted with the facts and circumstances", and that person is legally bound to answer truthfully every question, except if it would expose him or her to criminal charges.[217]

Inspections are useful when an employee is still employed and does not wish to complain publicly about conditions because of the risk of employment termination. Employers are not told the identity of a complainant when an inspection is conducted. An inspection can result in remedial steps that benefit the entire workforce, not just an individual complainant.

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[214] ILO, Labour Inspection Convention, 1947 (No. 81), Convention Concerning Labour Inspection in Industry and Commerce (Entry into force: 7 April 1950), Article 1.

[215] ILO, Labour Inspection Convention, 1947, No 81, Article 3.

[216] EA 1955, Section 65.

[217] EA 1955, Section 67.

The principal complaint about labour inspections is the absence of a clear and transparent procedure or timeline for investigation. Migrant workers and embassy staff noted that they report violations to the DoL, but do not know whether an inspection takes place, and if so whether violations were discovered. This can leave migrant workers feeling exposed and frustrated. The DoL confirmed that its officers do not routinely inform complainants, whether the worker or their advisors, of their findings or of action taken. The DoL noted that if a complainant specifically requests updates and provides a contact number, the officer will usually keep them informed. However, officers do not inform complainants about this possibility.

The EA 1955 is also ambiguous regarding the action labour inspectors can or must take if they find evidence of labour violations, for example whether they can order payment of unpaid wages. The only clear authority is to investigate and then refer the matter to prosecution, but this occurs rarely.

4.2.3 Investigations and Criminal Prosecutions

Most violations of the EA 1955 by employers are criminal offences — for example, failure to pay wages due under the Act. The DoL has wide powers to investigate possible violations and to summon any person who may have information about a violation.[218] If, following these inquiries, the DoL thinks that an offence has been committed, it "may institute such criminal proceedings as the [DoL] may deem necessary".[219]

Information about offences may arise in the hearing of a complaint, or during labour inspection. Individuals may report violations of the EA 1955 to the DoL. Before the DoL brings a prosecution under the EA 1955, the labour officer must obtain the written consent of the Public Prosecutor ("PP").[220] Prosecutions under the EA 1955 are tried in a Sessions Court or First Class Magistrates' Court. The penalties under the EA 1955 are payable as fines to the state. However, the court does have discretion to instead direct the payment to be made to the employee as a form of compensation.[221]

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[218] EA 1955, Section 79(1).

[219] EA 1955, Section 79(2).

[220] EA 1955, Section 85.

[221] EA 1955, Section 87.

Prosecutions seem rare and there is frustration that more exploitative employers are not prosecuted.

4.2.4 Summary

Overall, the DoL process is viewed favourably. However, the Department was under-resourced to effectively monitor all workplaces in Peninsular Malaysia or to thoroughly investigate violations. Labour officers appear to lack the will to enforce the law against employers, for example through prosecutions or proactive investigations. Labour officers have become less assertive because they are afraid that angry employers will complain about them to their superiors, which could damage their reputations and careers.

Labour officers are not receiving sufficient training to handle migrant worker cases, and do not understand the specific barriers migrant workers face when bringing a case against an employer.

Despite these reservations, the DoL is clearly one of the most important institutions for providing redress to migrant workers who experience problems at work. It has relatively broad authority to identify wrongdoing and seek a resolution, and can provide swift, affordable and fair outcomes if it works effectively, and if enough migrant workers are aware of its role.

4.3 Department of Industrial Relations and Industrial Court

A second path to redress for migrant workers who suffer harms at work is the industrial relations system, comprising the Department of Industrial Relations and the Industrial Court. The IRA 1967 governs this system. It emphasises harmony in the workplace and the overall industrial system, and justice for both employees and employers.

Since 1989, the industrial relations system has had jurisdiction to resolve cases of dismissal "without just cause or excuse", commonly called unfair dismissal.[222] Unfair dismissal claims may be relevant to migrant workers who, for example, are terminated from employment for participating in union activities, complaining

[222] IRA 1967, Section 20(1).

about working conditions, filing a complaint with the DoL, or demanding that they be paid according to their contracts.

Unfair dismissal claims in the Industrial Court can result in reinstatement or compensation in lieu of reinstatement, as well as backwages from the date of termination. If a dismissed worker does not wish to be reinstated and seeks only termination benefits and wages in lieu of notice due under the EA 1955, then a claim can instead be brought to the Labour Court.[223]

This section describes the jurisdiction and powers of the Department of Industrial Relations and the Industrial Court in unfair dismissal cases, the procedures for filing a claim of unfair dismissal (called making a representation for reinstatement) and perceptions of the use of and effectiveness of this system for migrant workers. It is based on analysis of the IRA 1967, secondary sources including decisions of the Industrial Court, and academic papers and documents from the Department of Industrial Relations.

4.3.1 Department of Industrial Relations

The Department of Industrial Relations has jurisdiction to receive unfair dismissal claims pursuant to Section 20(1) of the IRA 1967.

"Workman" includes "any person employed by an employer under a contract of employment to work for hire or reward".[224] The phrase "any person" has been held by the Industrial Court to include a migrant worker, regardless of whether they have a work permit or pass to work in Malaysia.[225] The Department of Industrial Relations can only accept the representation, however, if it is filed at the office closest to the workplace, and if it is made within 60 days of the dismissal.[226]

"Dismissal" includes "constructive dismissal". In *Wong Chee Hong v Cathay Organisation (M) Sdn Bhd.*, the Supreme Court of Malaysia ruled that there is a

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[223] *Sar-Alam Indah Sdn Bhd v Chua Peng Hee* [2010] 6 CLJ 240.

[224] IRA 1967, Section 2.

[225] *Ali Salih Khalaf v Taj Mahal Hotel*, Industrial Court of Malaysia, Case No. 22-27/4-1580/12, Award No. 245 of 2014, unpublished.

[226] IRA 1967, Sections 20(1) and 20(1A).

"common law right of an employee to repudiate his contract of service where the conduct of his employer is such that the latter is guilty of a breach going to the root of the contract or where he has demonstrated an intention no longer to be bound by the contract. In such situations, the employee is entitled to regard himself as being dismissed and walk out of his employment".[227] Many migrant workers are "constructively dismissed".

The IRA 1967 does not define "just cause or excuse"; the courts have stated that the Industrial Court must look at the reasons given by the employer for the termination and whether "the excuse or reason has or has not been made out".[228] Retaliation for membership of a union or participation in the activities of lawful union are prohibited by the IRA 1967,[229] so these cannot be a "just cause or excuse".

Officers at the Industrial Relations Department cannot make decisions in unfair dismissal cases. Their role is to arrive at "an expeditious settlement" between the parties. In achieving this, the officer must take "such steps as he may consider necessary or expedient" to reach the settlement.[230] This can include directing the parties to provide relevant information within a specified timeframe, and to direct the parties and anyone else "connected directly or indirectly with the dismissal" to attend conferences presided over by the officer.[231]

These conferences, called conciliation meetings at the Department of Industrial Relations, are attended by the parties. They can be assisted by a representative of a trade union or employers' organisation, but cannot be represented by a lawyer.[232] If the dismissed worker fails to attend any of the conferences "without reasonable excuse", their representations are deemed withdrawn.[233] There is no similar provision for employers.

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[227] [1988] 1 MLJ 92 at 94.

[228] *Goon Kwee Phoy v J & P Coats (M) Bhd* [1981] MLJ 2.

[229] IRA 1967, Sections 4 and 5.

[230] IRA 1967, Section 20(2).

[231] IRA 1967, Section 20(8).

[232] IRA 1967, Sections 20(5) and 20(6).

[233] IRA 1967, Section 20(9).

A handbook on representations for reinstatement explains that the role of the officer, called a Peace Officer in the handbook, is to explain the process, and to give opinions and advice to the parties based on the facts of the case, legislation, and decisions of the Industrial Court. If the parties reach a settlement, the officer will prepare a Memorandum of Agreement to be signed by the parties and witnessed by the officer, and the case will be closed.[234]

If the officer handling the representation becomes "satisfied that there is no likelihood" of the parties settling through conciliation, they must notify the Minister of Human Resources.[235] The IRA 1967 does not set any timeline for the industrial relations officer to make this determination or for any specific steps in the process, such as timelines for conciliation and resolution.

4.3.2 Referral by the Minister for Human Resources

The Minister has discretion under Section 20(3) of the IRA 1967 to either close the case, or refer it to the Industrial Court for adjudication. The Minister may make the reference if they think it "fit". The courts have confirmed that the Minister's discretion is wide, subject to errors of law, improper motive or excess of jurisdiction,[236] unless they consider the claim to be frivolous or vexatious.[237]

The higher courts do review the Minister's decisions, and occasionally overturn them. For example, in August 2016, the High Court overturned the decision of the Minister to refer a claim for reinstatement. The 895 employees in that case had been dismissed from a steel plant when it closed, and thus the High Court said reinstatement was not a real possibility and the matter was outside the jurisdiction of the Industrial Court.[238]

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[234] Department of Industrial Relations, Putrajaya, *Representasi Pemulihan Kerja [Representations for Reinstatement]*, 2013, pp. 8–9.

[235] IRA 1967, Section 20(2).

[236] *Minister of Labour & The Government of Malaysia v Lie Seng Fatt* [1990] 1 CLJ 195.

[237] *Hong Leong Equipment Sdn Bhd v Liew Fook Chuan & Other Appeals* [1997] 1 CLJ 665.

[238] Kow Gah Chie, "Court quashes minister's referral as reinstatement not possible", *Malaysiakini*, 19 August 2016, https://www.malaysiakini.com/news/352923.

4.3.3 The Industrial Court

Powers of the Industrial Court in Unfair Dismissal Cases

The Industrial Court is different to the civil courts in that it is driven by "social justice as distinguished from legal justice", and thus has broad powers to reach a just outcome.[239] According to the IRA 1967, the Court "… shall act according to equity, good conscience and the substantial merits of the case, without regard to technicalities and legal form".[240]

The IRA 1967 does not prescribe specific remedies in unfair dismissal cases, but rather gives the Industrial Court wide discretion to "include in the award any matter or thing which it thinks necessary or expedient for the purpose of settling [the matter]" and is not "restricted to the specific relief claimed by the parties".[241] Nevertheless, in practice and pursuant to guidelines in the IRA 1967,[242] the award commonly includes:

(1) reinstatement of the worker "in his former employment";[243]

(2) payment of backwages from the date of dismissal to the last day of the hearing, up to a maximum of 24 months of backwages. Backwages are calculated based on the last-drawn wage of the dismissed worker;[244] and

(3) if reinstatement is not appropriate, the Industrial Court can award compensation for unfair dismissal. Compensation does not include loss of future earnings, and must also "take into account contributory misconduct" of the dismissed worker.[245]

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[239] *Tanjong Jara Beach Hotel Sdn Bhd v National Union of Hotel, Bar & Restaurant Workers Peninsular Malaysia* [2004] 3 ILR i at pp. xiv and xv.

[240] IRA 1967, Section 30(5).

[241] IRA 1967, Section 30(6).

[242] According to Section 30(6A) of the IRA 1967, the Court must consider the guidelines set out in the Second Schedule when making an award.

[243] IRA 1967, Section 20(1).

[244] IRA 1967, Second Schedule, Sections 1 and 3.

[245] IRA 1967, Second Schedule, Sections 4 and 5.

The Industrial Court theoretically could order other remedies associated with the dismissal as part of their plenary discretion to resolve the case, but it is not the practice of the Court to award payment of losses before the dismissal, such as unpaid wages. Claims for unpaid wages are instead referred to the DoL.

Procedure at the Industrial Court

Proceedings at the Industrial Court are intended to be expeditious and not overly formal or technical. Unlike the Department of Industrial Relations, timelines for the proceedings are set in legislation. The Court must ordinarily fix the first hearing 21 days after receiving the reference, and "where practicable", make the award within 30 days of the reference.[246] Cases of unfair dismissal can be heard by a Chairman of the Court sitting alone.[247]

The Industrial Court has held that its function in unfair dismissal cases "is twofold, first to determine whether the misconduct complained of by the employer has been established, and secondly, whether the proven misconduct constitutes just cause or excuse for the dismissal".[248]

The Industrial Court can summon any witness or subpoena any documents or take any other steps "for the expeditious determination" of the case.[249] Parties can be represented by their union or their employers' association or, with the permission of the President, by a lawyer.[250]

The Industrial Court will then hand down a ruling and make an award.[251] An award from the Industrial Court is binding on all parties.[252]

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[246] IRA 1967, Section 30(3).

[247] IRA 1967, Section 23(4). Note that in other cases, the Chairman is joined by one representative of workers and one of employers, each from a panel appointed by the Minister of Human Resources (IRA 1967, Section 21(1)).

[248] *Milan Auto Sdn Bhd v Wong Seh Yen* (1995) 4 CLJ 449.

[249] IRA 1967, Section 29(g).

[250] IRA 1967, Section 27.

[251] IRA 1967, Section 20(3).

[252] IRA 1967, Section 32(1).

The only option for a party dissatisfied with an award is to make an application to the Industrial Court for it to refer a "question of law" that arose in the proceedings to the High Court. The bar for making a reference to the High Court is high — the party seeking the reference must convince the Industrial Court that the question is of "sufficient importance" and that the Industrial Court's determination of the question raises "sufficient doubt" to merit the reference.[253] The Industrial Court's decision whether to refer the question of law is final and conclusive, and cannot be appealed or challenged in any court.[254]

4.3.4 Effectiveness of the Industrial Relations System for Migrant Workers

Very few migrant workers use the industrial relations system to seek redress. The Department of Industrial Relations itself stated that on average only around two percent of representations made under Section 20(1) to the Department of Industrial Relations were made by foreign nationals. In almost all cases, foreign nationals before the Industrial Court were highly paid expatriates rather than migrant workers.

The industrial relations system may not be appropriate for many migrant workers in distress. The BCLAC suggested that few migrant workers seek reinstatement and instead wish to be paid wages they are owed before their employment termination, and then to return home. However, more migrant workers may be eligible than commonly believed if constructive dismissal cases are also included.

Beyond questions of remedies, several barriers may also limit the use of the system by migrant workers.

Awareness

Knowledge and awareness of the system among migrant workers was believed to be low. Legal aid providers and civil society organisations also said they rarely advise migrant workers about the Department of Industrial Relations for the other challenges listed next.

[253] IRA 1967, Sections 33A(1) and (3).

[254] IRA 1967, Section 33B.

Efficiency of Procedures

Cases in the industrial relations system can continue for many years due to the lack of clear timelines for the first two stages of the process. One lawyer noted that, in her experience, it commonly takes between one and two years just for a reference to be made to the Industrial Court, after which it may take another year. A former President of the Industrial Court has described several cases in which delay and lack of a legal permit to stay denied workers justice. In one extreme case, the resolution took six years due to various challenges, and the worker had returned home by the time a decision was made.

It is possible for a migrant worker to leave Malaysia during proceedings, and a Judge of the Industrial Court noted that expatriates frequently leave the country and return for hearing dates. However, migrant workers rarely have the resources or time to travel back and forth.

Outcomes of Industrial Court Cases

In two cases described by a former President of the Industrial Court, the migrant workers were unsuccessful in the Industrial Court. In the *Taj Mahal* case, the worker was successful, but the lawyer who represented the migrant worker in the case said that the money awarded to the worker was never recovered because the employer disappeared.

4.4 Civil Litigation in the Courts

The civil courts resolve disputes between private parties, such as disputes over a contract, personal injuries caused by negligence, family matters, and commercial and banking disputes. They also hear requests for judicial review of government decisions. Decisions of the civil courts, because they have precedential value, can set social and commercial norms of acceptable behaviour.[255]

A civil case is brought by an individual claimant or corporation (the plaintiff) against another party (the defendant). The plaintiff alleges harm caused by the

[255] See for example, H. Genn, "What is Civil Justice for? Reform, ADR and Access to Justice", *Yale Journal of Law and Humanities*, 24(1), 2013.

defendant, and/or that the claimant has a legal right against the defendant, such as for unpaid wages.

This section provides a brief outline of the courts and civil procedure, starting with the filing of a claim, and ending with the enforcement of a judgment. It then sets out perceptions and experiences of migrant workers and stakeholders who have used the courts to resolve civil claims brought by migrant workers.

4.4.1 The Courts in Malaysia

The jurisdictions of the various courts in civil matters are defined by the Constitution, Rules of Court 2012, and Subordinate Courts Act 1948.

Civil Claims

The vast majority of migrant worker cases for personal injury or contract violations are heard in the subordinate courts. Migrant workers have the same rights as citizens to bring civil claims.[256] For example, they may bring claims against employers for violating the employment contract, for negligence leading to injury at work, or for pain and suffering following abuse. Workers may also have claims against the Government, for example for wrongful imprisonment or violation of constitutional rights.

Civil remedies depend on the nature of the claim and the applicable law. For example, plaintiffs can ask a court to declare a contract void, or to enforce a contract, among other things. In a personal injury case, the Civil Law Act 1956 provides for payment of compensation for losses caused by the injury. The courts can order amounts usually much greater than those available through the Labour Court.

Judicial Review and Constitutional Interpretation

Migrant workers who believe that their constitutional rights have been violated by law or action of the Executive can seek judicial review of the policy or decision in the High Court. The Courts of Judicature Act 1964 empowers the High Court to

[256] Federal Constitution, Article 8.

issue "to any person or authority" any order or writ "for the enforcement of the rights conferred by Part II of the Constitution".[257]

The Federal Court, Malaysia's highest court, decides questions "on the effect of any provision" of the Constitution. Other courts refer constitutional questions to the Federal Court when they arise in a case.[258]

Note that the Federal Court in 1976 ruled that decisions made under the Immigration Act 1959/63 are precluded from judicial review, except on procedural grounds:[259]

> The problem of dealing with illegal immigrants is a matter of public policy to be decided by Parliament and by the Executive … the court should simply apply the law, no matter how harsh its effect may be on the immigrant.[260]

In that case, the appellant non-citizen argued that his detention under the Immigration Act 1959/63 was unlawful because he had not been served the order of detention, had not been given a hearing to challenge the detention, and was being held indefinitely because he did not have the correct documents to be deported. Although outside of the immigration context, these circumstances would be against the principles of procedural justice, the Federal Court held that because the Immigration Act 1959/63 did not make provision for these rights, he was not entitled to them.

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[257] Courts of Judicature Act 1964, Act 91, Section 25(2), Schedule 2. Writs that can be ordered include, but are not limited to, the prerogative writs under British common law, namely *habeas corpus, mandamus, prohibition, quo warranto* and *certiorari.*

[258] Federal Constitution, Articles 18(2) and 128(2).

[259] Immigration Act 1959/63, Section 59A.

[260] *Andrew s/o Thamboosamy v Superintendent of Pudu Prisons, Kuala Lumpur* [1976] 2 MLJ 156.

4.4.2 Procedure for Resolution of Civil Claims

Civil claims procedure has been broadly the same for all courts since the introduction of the Rules of Court 2012. The main steps in the process in the subordinate courts are as follows:

(1) **Initiating a Claim:** To initiate a claim in the civil courts, the plaintiff files a document called a writ of summons.[261] The summons is accompanied by a concise statement of the nature of the claim and the relief or remedy sought.[262] The plaintiff chooses the appropriate court to file the writ based on the amount of the claim and the location of the court. The court is usually located in the jurisdiction where the cause of action arose, or where the defendant lives or has a place of business;[263]

(2) **Service:** The plaintiff must serve the writ of summons, or any other application, on the defendant so that they have knowledge of the proceedings. The papers can be served either in person or by registered post to the last known address of the individual, or registered address of a corporate defendant;[264]

(3) **Appearance by the Defendant:** The defendant has 14 days to respond to the writ of summons by filing an "appearance".[265] If the defendant makes

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[261] Rules of Court 2012, Order 6, Rule 2. Some courts, eg in Kuala Lumpur, Selangor, Ipoh, Johor Bahru and Penang, are equipped with e-filing facility, which enables a smoother process. In states that only accept manual filing, the process of sealing and extracting the writ can take several days.

[262] In simple cases, where there are no substantial disputes over fact and the matter can be decided on a question of law, an originating summons, rather than a writ of summons, is filed. This is not relevant to the cases described by migrant workers however, so it is not discussed further.

[263] Courts of Judicature Act 1964, Section 23(1).

[264] Service on an individual defendant is effected by personal service or by sending the papers by prepaid registered post to the defendant's last known address (Order 10 Rule 1, Rules of Court 2012). As for corporations, the plaintiff can serve the documents by leaving a copy at the registered office, sending a copy to the principal office, handing a copy to the company secretary or director, or sending the documents via registered post to the company (Order 62 Rule 4(1) of the Rules of Court 2012 and Section 350 of the Companies Act 1965).

[265] Rules of Court 2012, Order 12.

no response, the court will order in favour of the plaintiff by default, called a default judgment;[266]

(4) **Pre-Trial Preparations:** If the defendant files the appearance, the court will set a date for a first mention, and the parties will gather further documentary evidence and witness statements.[267] During this time the parties can make many other applications (called interlocutory applications), for example to have documents produced, or seek summary judgment.[268] Courts usually recommend the parties try to mediate the matter, with a judge or registrar acting as a mediator;[269]

(5) **Trial:** At the trial, both parties can present witnesses, who will be examined and cross-examined. At the end, the parties can sum up their case for the court. The plaintiff must prove their case on the balance of probabilities (also known as the "preponderance of evidence");

(6) **Settlement:** If the plaintiff is successful in the claim (with or without a trial), the court orders the defendant to pay them the amount won, costs and interest.[270] If the claim is not successful, the plaintiff must pay the costs of the defendant; and

(7) **Enforcement:** If the defendant fails to pay the money owed, the plaintiff can institute a new claim to enforce the judgment, called execution.[271] The various execution methods include applying to the court to take possession of or seize and sell the defendant's property, petitioning for the defendant's bankruptcy or winding up, seeking an order for garnishment of the defendant's income, or to taking committal proceedings for contempt of court.

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[266] Rules of Court 2012, Order 93, Rules 6 and 8.

[267] Rules of Court 2012, Order 38, Rule 2.

[268] Rules of Court 2012, Order 14, Rule 1.

[269] See Mediation Act 2012.

[270] Interest is 4% per annum from the date of judgment to settlement of claim.

[271] The time limit for taking enforcement action is 21 days from the order of proceedings against the government, and 12 years in all other cases (Limitations Act 1953, Section 3; Government Proceedings Act 1956, Section 33).

At an early stage of proceedings, defendants are likely to ask the court to order "security for costs" if the plaintiff is "ordinarily resident outside" Malaysia. This security is an amount held by the court to cover the defendant's costs if the plaintiff is unsuccessful.[272] The amount of security is at the discretion of the court.[273]

Several stakeholders suggested a security for costs order is made in most migrant worker cases, but a review of the case law suggests that finding someone "ordinarily resident" depends on the circumstances of the case. The Malaysian courts have previously looked to the British courts for guidance on this issue.[274] The House of Lords decided that migrants on a temporary student visa are "ordinarily resident" in the UK; and a migrant who has overstayed their visa could still be "ordinarily resident".[275] On this basis, a migrant who is employed in Malaysia or who has stayed in Malaysia having been employed there and, for example, now has a Special Pass, would have a strong claim to not be "ordinarily resident" outside Malaysia.

4.4.3 Effectiveness of the Courts for Providing Redress to Migrant Workers

Accessibility of the Courts

Malaysia's subordinate courts are physically accessible as they are located in all major population centres. Filing fees for instituting a claim are also relatively low, at RM100 for the Magistrates' Court and RM200 for the Sessions Court, respectively (including the fees for electronic filing). Filing fees for any interlocutory applications that may follow, such as for summary judgment, are RM20. Although in a complex case the fees may become substantial, in simple contract cases, these fees may be manageable for a migrant worker.

[272] Rules of Court 2012, Order 23, Rule 1.

[273] Rules of Court 2012, Order 59, Rule 22.

[274] *T.P.C. (M.W.) v. A.B.U. & Anor* [1983] CLJ (Rep) 881; *Neil Duncan Gillies & Anor v Liew Mei Ling & Ors* [2010] 4 MLJ 179, Case No. F25-01-2010 High Court, 8 April 2010.

[275] *R v Barnet London Borough Council, Ex parte Nilish Shah* [1982] QB 688: ordinary residence refers to "abode in a particular place or country which he has adopted voluntarily and for settled purposes as part of the regular order of his life for the time being, whether of short or of long duration" (*Mark v Mark* [2005] UKHL 42 at pp. 29–36).

Courts may not be practically accessible to migrant workers. A lack of knowledge and awareness among migrant workers of the civil courts and their procedures; the use of technical legal language which can be intimidating for migrant workers; the resulting need for legal representation; difficulty in gathering sufficient evidence to support a claim; the cost and inconvenience of staying in Malaysia while the case proceeds; and social, cultural and language barriers to accessing the court system, are some of the issues.

For small claims of up to RM5,000, the small claims process in the Magistrates' Court may reduce some of these obstacles. The parties must be self-represented and the documents to be filed are given as simple forms.[276] Some undocumented migrant workers were advised by their advisors to bring claims in the Small Claims Division for immigration fraud. The advisors believed the Small Claims Division would be less likely to have the workers arrested for being undocumented. The organisation, Tenaganita, assisted the migrant workers to gather the evidence to support their claims, and complete the claim forms.

Transparency and Efficiency of Procedures

Delays

Small claims cases by migrants were heard and decided within several months. Larger claims took up to two years from filing to judgment.[277] Cases which are heard on appeal, and therefore before several court levels, take several years.[278] Any delay can be an obstacle to redress. A defendant can try to delay proceedings in many ways, such as claiming illness, seeking postponements, filing interlocutory applications, or changing lawyers. Matters may also be

[276] Rules of Court 2012, Order 93, Rule 7.

[277] In the *Chin Well Fasteners* case, the workers discovered the contract substitution in October 2002, issued the claim the same month and received judgment from the High Court in 2003: *Chin Well Fasteners Co Sdn Bhd v Sampath Kumar Vellingiri & Ors* [2006] 1 MLJ 117, see paragraph 12 and headnote. In the *Sumarni* case, the plaintiff was injured in January 2000 and her claim was decided by the Sessions Court in August 2001: *Sumarni v Yow Bing Kwong & Anor.* [2008] 1 MLJ 608.

[278] In the *Chin Well Fasteners* case, the Court of Appeal took two years to decide on the appeal. In the *Sumarni* case, the appeal from the Sessions Court to the High Court took nine months; the further appeal to the Court of Appeal took five years to be decided on. The case took a total of seven years to resolve.

delayed by events at the court, such as the absence of a judge for training or illness.

Cases in Malaysian courts are now resolved more expeditiously than in previous years due to significant reforms. These reforms, as well as reducing backlogs, have imposed strict case management procedures and timelines on new cases which aim to have all cases resolved within nine months of filing. In fact, most cases in the subordinate courts are now reportedly resolved within six months of filing, not taking enforcement of appeals into account.[279]

Costs

A second procedural barrier was costs of the process. As well as filing fees, the plaintiff may be required to pay legal fees and expenses, expenses for expert witnesses, and potentially the costs of the defendant. Court orders for security for costs are a significant barrier to the claim progressing. Some lawyers may provide their services *pro bono*, but will usually still need their expenses covered, according to one civil society organisation that supports migrant workers to bring legal claims. Fee arrangements, whereby fees are paid only in the event the case is successful, are not common.[280]

Finally, a migrant worker must have the means to support him or herself in Malaysia while the claim progresses, or the funds to leave and return, if required, for hearings. It would be unlikely that the migrant worker could be employed legally during this time. Remaining in Malaysia then requires the support of other organisations or community groups that can assist the worker with food and board or travel costs.

Outcomes of Civil Cases

The outcomes of civil case are mixed, as would be expected in any range of cases. In both small claims regarding immigration fraud, however, the migrant

[279] For an overview of the court reform programme, see Justice Azahar bin Mohamed, "Court Reform Programmes: The Malaysian Experience", Lecture given to the Institute of Advanced Legal Studies, University of London, 1 December 2015, tinyurl.com/4hrr4xvb.

[280] Legal Profession Act 1976, Section 112(I)(b).

workers were successful. The case worker who assisted both groups of migrants attributed this success to the workers keeping the receipts for the monies they had paid to the agents, and in one case also filing police reports which supported the claim.

Execution of the judgments proved to be a greater challenge, due to the defendant not located to serve him with execution papers. In one case the defendant eventually agreed to pay the amounts in instalments. A migrant worker who had lost his fingers in a work-related accident at a cement factory successfully sued for damages but was unable to enforce the judgment because the employer could not be located.

Execution of judgments is also a technical area of civil procedure that usually requires legal advice and representation. It can also be expensive depending on the form of execution sought. For example, where the plaintiff wishes the judgment enforced by a seizure of the defendant's property, the plaintiff is usually required to pay expected expenses upfront, and may be charged additional expenses of the bailiff.

4.4.4 Summary

Most are highly sceptical in using the civil courts as an avenue for redress of migrant workers, believing that the courts were expensive, time-consuming, and complicated, and the results uncertain. Even if a judgment was obtained, this was no guarantee of the worker receiving the money owed to them.

Migrant workers do face obstacles that other plaintiffs may not, such as language and cultural barriers, and the possibility of security for costs being ordered in a case. However, recent reforms to the courts — such as the Rules of Court 2012, the creation of the Small Claims Division at the Magistrates' Court and new case management timelines — make the civil courts more accessible to migrant workers than they once were. The courts can be an effective forum for recovering smaller amounts of money under an employment or other contract. The higher courts can be essential in building new norms around the treatment of migrant workers and clarifying rights and responsibilities.

4.5 Criminal Justice System and Migrant Workers

Malaysia's criminal justice system includes the police, the public prosecution, criminal defence lawyers and the courts. It is responsible for investigating, prosecuting or defending, and punishing crimes in Malaysia. This includes crimes under the Penal Code, as well as offences under other legislation described previously in this study, such as the Immigration Act 1959/63, Passports Act 1966, EA 1955, and OSHA 1994.

This section outlines the criminal justice system as it applies to migrant workers. The problems that plague the system for all include police corruption, slow investigations, and backlogs in the courts.[281] However, migrant workers and others also face challenges accessing justice that are directly related to their immigration status, including discrimination, fear of arrest and deportation, and a perception that all actors in the criminal justice system are reluctant to enforce the law against employers. Most migrant workers are reluctant to report crimes to the police, especially if they are undocumented.

Although not strictly related to redress, this section also briefly addresses the treatment of non-citizens as defendants in criminal cases.

4.5.1 Criminal Procedure

The CPC regulates investigation of crimes, searches and seizures, prosecution of an accused, and the trial and punishment of offences.[282]

Reporting Alleged Crimes to the Police

Any person can report a crime to the police, regardless of their nationality, immigration status or other identifier.[283] The police officer is required to record

[281] A 2013 report by Transparency International found that the public saw the police as the most corrupt public institution in the country — 76% of people saw the police as corrupt or extremely corrupt, and 12% had paid a bribe to the police in the past 12 months. See Transparency International, "In Detail: Global Corruption Barometer 2013: Malaysia", http://www.transparency.org/gcb2013/in_detail (last accessed on 29 October 2018).

[282] CPC, enacted throughout Malaysia on 10 January 1976.

[283] See Article 8 of the Federal Constitution.

the complaint in writing and read it back to the informant.[284] The officer must then enter all of the information in a book or system, and the report must be signed by the informant.[285] Reports are usually made at police stations, but informants can also report to a police officer outside of a station, who is then required to take down that person's details and forward the report to the relevant person at the station.[286]

Police officers do not have discretion to refuse to take a police report, and indeed are "duty bound to receive any information in relation to any offence committed anywhere in Malaysia".[287]

Investigation of Reported Offences

Investigations are entirely the responsibility of the police, with no role for the prosecution or courts. If the information received indicates commission of an offence, an officer must be sent "to the spot to inquire into the facts and circumstances of the case" and then to take any necessary measures to locate and arrest the offender.[288] However, the officer has discretion not to take these steps if they consider the complaint to be "not of a serious nature", and shall take no further action at all if they consider "there is no sufficient ground for proceeding".[289]

If an investigation does take place, the investigating officer can examine any witnesses, search "any place" suspected of having relevant documents or other evidence and access computerised data.[290] The investigation must be "completed without unnecessary delay" and a report of the investigation submitted to the PP within three months from the date of the original report.[291]

[284] CPC, Section 107(1).

[285] CPC, Section 107(2).

[286] CPC, Section 107(3).

[287] CPC, Section 107(4).

[288] CPC, Section 110(1).

[289] CPC, Sections 110(1)(a) and (b).

[290] CPC, Sections 111, 113 and 116B.

[291] CPC, Section 120(1).

The person who reported the offence also has the right to ask for an update on the investigation after four weeks have passed, and the officer in charge of the station must give a "status report of the investigation" within two weeks of the request. If the request is not answered, the informant can complain to the PP.[292]

Prosecution

Prosecutors are responsible for charging the offender and instituting criminal cases. A prosecutor would likely only institute proceedings if there is a good likelihood that the case will succeed, based on the evidence gathered during the investigation.[293]

Pre-Trial and Trial Proceedings

Prior to the trial, pre-trial and case management hearings are held to reduce delays. The victim of the alleged crime does not have a formal role in the trial, except as a witness for the prosecution. Victims do not have their own legal representation to ensure their interests are brought forward during the process.

Rights of Victims of Crime in Malaysia

Traditionally, victims of alleged crime have had a limited role and no rights during criminal investigations and prosecutions. A police officer will take a statement and prepare a police report, and then if the offender is charged and the case proceeds to trial, the prosecution may call the victim to testify. The prosecution is not obligated to inform a victim of progress in the case, or the location of the perpetrator. A judge may order a convicted offender to pay a victim compensation for losses incurred by the crime,[294] but compensation is rarely or never sought by prosecutors.

[292] CPC, Section 107A.

[293] A. R. Haji Mohamad Hassan, "The Administration of Criminal Justice in Malaysia: The Role and Function of the Prosecution", *107th International Training Course Participants' Papers*, Resource Material Series No. 53. 1998.

[294] CPC, Section 426.

In recent years, the Government has introduced some "victim-centred" provisions to better protect victims of crime and increase their role in proceedings, including victim impact statements.

It is unclear how widely prosecutors advise victims of these opportunities outside of high-profile cases. Requests for victim compensation were also rare and most prosecutors were not aware of these options.

Cases where statements were made or compensation requested involved a victim with the financial resources to pay for a lawyer to attend the trial as a "watching brief" and advocate on behalf of the victim. In many cases, the prosecutor has no more contact with the victim after they give evidence, and thus the victim may not even know if the accused is convicted, let alone have an opportunity to participate in the sentencing.

Victims in sexual assault cases also do not have any protection from invasive or inappropriate questions that intend to discredit them, such as questions regarding sexual history. In one case, the prosecutor himself asked the victim graphic details about the accused's body and implied she was lying when she could not remember. Such examinations are likely to make victims of violent crimes extremely reluctant to contact the police, and deepen the shame and trauma following an assault. The challenges that migrant workers face getting justice in cases of rape and sexual abuse may reflect deeper challenges for victims of sexual violence in Malaysia generally.

4.5.2 Perceptions of Effectiveness of the Criminal Justice System for Migrant Worker Victims of Crime

Accessibility

The criminal justice system is not directly accessible to victims of crime. Although victims can report their experiences to the police, it is up to the police whether to investigate, and up to the PP whether to institute criminal proceedings.

Most who successfully filed a police report did so with assistance, such as from their embassy or a service provider. Those who went alone tended to receive less assistance.

Other workers who may have had grounds to go to the police declined to make a report out of fear of arrest if they were undocumented, or did not hold their passports.

Investigations following reports varied. In several cases, the police investigated and the case progressed. In other cases, however, nothing was done and the migrant worker simply received a copy of the report. In still others, the police actively placed the migrant worker at risk by informing the employers of the complaint.

Prosecutions for crimes committed against migrant workers are rare. Police and prosecutors were often slow to file charges or follow-up on cases, particularly if the accused is a Malaysian, and that much lobbying of the police was needed to have a case proceed. As a result, it would be very difficult for a migrant worker to have a case progress without significant advocacy, legal and practical support from Malaysian organisations or friends.

Fairness and Efficiency of Procedures

As well as difficulty accessing the criminal justice system and having crimes taken seriously, stakeholders also expressed concern about the procedures of investigation and trial.

The most frequent concern was, as in the civil courts, the length of time it would take for a case to reach trial and a decision of the court. Even with the reforms to the courts discussed in the previous sections, it was acknowledged that the courts' target in criminal cases is to dispose of cases within 12 months, and this does not include the investigation phase. Remaining in Malaysia for 12 or more months is extremely difficult for migrant workers who do not have a work permit or any source of income. Although it may be technically possible for the worker to leave Malaysia and return for court dates, in practice these dates can be scheduled at short notice and multiple adjournments make coming into and going from Malaysia extremely expensive.

Outcomes for Migrant Worker Victims of Crime

Cases have more chance of success if the victim has local support, including shelter, legal advice, food, counselling, interpretation, and assistance in gathering evidence.

4.5.3 Access to Justice for Migrant Workers Charged with Immigration Offences

There is deep concern about access to justice for migrant workers who are accused of committing a crime, particularly an immigration offence.

Besides violations of the right to a fair trial, numerous procedural and practical challenges make justice elusive for migrant workers prosecuted for immigration offences.

First, migrant workers rarely understand the charges against them. The charge sheets are highly legalistic and "not easily comprehended by a normal person". The vast majority of migrant workers charged with immigration offences do not receive adequate translation, so they do not understand the proceedings.

Second, bail practices make it more difficult for non-citizens to be released pending the trial. The courts have discretion to grant bail for all criminal offences except the most serious crimes punishable by death and life imprisonment. The CPC does not set out factors for consideration,[295] but common practice for non-citizens is to require them to have either a valid pass (very unlikely in an immigration case), or for a Malaysian citizen to give a cash surety. In practice this means that few migrant workers seek or obtain bail, and almost none do so in immigration cases.

Third, police, interpreters and even private lawyers frequently advise migrant workers to plead guilty, even if they are in fact documented, to speed up the process for the worker, and everyone else. Claiming trial can result in a long wait in prison, sometimes more than a year. Pleading guilty followed by sentence, transfer to immigration detention camps and deportation can be concluded within four to six months.

[295] Chapter XXXVIII of the CPC, deals with bail.

All these challenges are heightened because non-residents do not have a right to free legal representation. Likely due to the lack of criminal defence and oversight in immigration cases, judicial decision-making is often arbitrary and does not follow precedent. Thus, lawyers find it difficult to properly advise clients charged with immigration offences. Most migrant workers in immigration cases plead guilty, receive the punishment, and are then deported. The punishment for illegal entry is whipping.

4.5.4 Summary

The police and the criminal courts are the traditional mechanism for seeking to hold wrongdoers accountable for crimes, and for imposing social order. They are an essential pathway to justice for exploited migrant workers, as for any victim of a crime.

However, few migrant workers appear to trust the system, particularly the police, enough to report their cases. Those that do, find discrimination as a barrier to having their cases taken seriously and thoroughly investigated. The dual roles of the police of protecting the community and enforcing the immigration law are in conflict when those reporting crimes are undocumented or have overstayed.

4.6 Informal Dispute Resolution

Most migrant workers do not use any official mechanism in Malaysia to seek redress for harm. Some do still take action though, by directly contacting their employer or agent in Malaysia, contacting their agent in the home country, and contacting their embassy or, in some cases, approaching the agent or employer with the assistance of a third party.

Contacting the wrongdoer or another source of assistance directly is a usual first step in all disputes for citizens or non-citizens. Some cases can be easily resolved through a discussion and clarification of the worker's situation, and legal rights and entitlements. The challenge for migrant workers is that they approach the negotiation from a position of weak bargaining power, particularly if they are undocumented or required to leave Malaysia within a short period of time.

4.6.1 Direct Negotiation with Employers

Some migrant workers had expressed their grievances directly with their employers. The employer often verbally conceded to the requests but did not follow the promised action.

The workers described feeling isolated from colleagues when they made these complaints, because colleagues were also afraid of being terminated.

4.6.2 Third-Party Negotiation

If a migrant worker seeks help, the lawyer or service provider will usually try to negotiate directly with the employer before taking the case further. Negotiation with the assistance of a third party may be the best and fastest option in many cases.

4.6.3 Embassy Support for Migrant Workers

All countries that send a significant number of migrant workers to Malaysia have embassies in Kuala Lumpur, which provide consular services to their citizens. Some also have labour attachés seconded from the DoL or equivalent in the home country.

As well as consular services, some embassies give legal advice, negotiate with employers on behalf of migrant workers or even hire Malaysian lawyers to represent migrant workers in serious criminal cases. Some of the more active embassies also assist migrant workers to file claims at the DoL.

Embassies described many challenges in assisting migrant workers with grievances in Malaysia. Many operate with a small number of staff and resources, especially if they represent smaller and less wealthy countries. Staff members are overwhelmed by the number of migrant workers seeking their assistance. Few embassy officials and labour attachés are trained in the Malaysian legal system or even in how migrant workers can file claims back in their home countries. For this reason, embassy officials have also come to rely on Malaysian NGOs to supplement services which they are unable or unwilling to provide.

Malaysian stakeholders, including the Government, NGOs and the legal community, expressed a strong wish for embassies to collaborate and assist their workers where they could. They suggested that more information about embassy services is needed, as well as channels for communication.

4.7 Summary of Mechanisms Available to Migrant Workers

Migrant workers who wish to seek a remedy for a grievance have various options for seeking redress depending on the nature of the harm. Most options are available to Malaysians and non-citizens alike, including labour claims and labour inspections for unpaid wages, the industrial relations system for unfair dismissal cases, filing a claim in the civil courts, or going to the police. These options can work well for migrant workers who have strong claims and sufficient evidence.

In reality, most migrant workers with grievances attempt direct negotiation or negotiation with the assistance of an interlocutor. The number of workers who take further action is extremely small. The cross-cutting barriers that prevent access are outlined in the following chapter.

5 Cross-Cutting Barriers to Accessing Justice

Despite the range of options available under the law to migrant workers who suffer harms in the course of migrating and working in Malaysia, most do not seek any assistance at all. Some migrant workers have lived in Malaysia for years enduring difficult and illegal conditions without ever submitting a complaint to their employer or any state institution. The migrant workers gave numerous reasons for not coming forward, or for being frustrated in their attempts to obtain justice if they did come forward.

5.1 Fear of Termination and Loss of Documented Status

The most common reason that migrant workers give for not seeking assistance or submitting a complaint about their employer is that they believe this would result in the termination of their services and their subsequent loss of legal status. Many workers assume that if they complain they would be laid off.

Losing employment is a serious matter for many migrant workers in Malaysia because they need to earn income to meet financial responsibilities at home. Almost all are the primary source of income for their families, and some have also taken on debt at high interest rates. Therefore, it is preferable in many cases to simply endure, rather than complain and risk being laid off. This situation is further exacerbated by the inability of migrant workers to change employers in cases of abuse and exploitation.

5.2 Undocumented Status and Fear of Arrest

One of the greatest barriers to redress was being undocumented. This is largely a matter of practice rather than law. More significantly, seeking redress brings the undocumented migrant worker into the open and may expose them to arrest. Undocumented migrants are sometimes arrested when making a police report, or when attending a court hearing if the employer has informed the Immigration Department that the worker will attend. This risk dissuades many undocumented workers from filing or following up on claims, even if they have been the victim of a serious crime.

5.3 Residence and Work Restrictions on Workers with Pending Cases

Non-citizens whose work permits have been cancelled, for example by leaving their employment, can only stay in Malaysia legally if they obtain a Special Pass, a renewable 30-day permit.[296] This system presents many challenges to migrant workers seeking redress.

First, a Special Pass is not granted automatically to claimants or victims of crime who have pending cases. Rather the granting, and the later extension, of a Special Pass, is always at the discretion of an immigration officer. Immigration officers would usually grant a Special Pass and at least two extensions to workers who presented a letter from the DoL or Department of Industrial Relations. However, this is not guaranteed.

Even if a Special Pass is obtained and extended, its usefulness is limited for migrant workers seeking justice. Many cases, particularly those in the courts, can take longer than 90 days, and thus the worker may have to give up the case before it is concluded. Further, the Pass does not grant an explicit right to work. Migrant workers who wish to stay and pursue a case must do so at their own expense or with the support of friends. This was identified as the greatest barrier to redress.

5.4 Passport Retention

The removal of passports from migrant workers against their wishes is common. Despite being against the law, authorities rarely enforce the law. Many migrant workers have their passport taken by their agent or employer on arrival in Malaysia. Only a handful managed to have their passport returned.

Taking a migrant worker's passport, as well as being illegal, usually has the effect of preventing a migrant worker from accessing justice. Migrant workers who do not hold their passport are effectively bound to their employers, because leaving the house can expose them to arrest and prosecution for illegal entry. Unless the

[296] For more information about the Special Pass System, see "Memorandum Relating to the Special Pass", Bar Council Malaysia, published on 11 February 2008, pp. 1–19, 2008.

situation is desperate, and they feel they have no other option, many will choose to stay in inferior conditions.

For those that leave, a passport is needed to access key redress mechanisms, although this is a matter of practice rather than law. Labour officers, for example, require workers to present their passport to file a claim, even though this is not a requirement of the EA 1955. The courts also reportedly require presentation of the passport to confirm the worker's identity.

Identity documents are requested by public hospitals and medical clinics. For non-citizens this means they must produce a passport or United Nations High Commissioner for Refugees ("UNHCR") registration document. Photocopies of passports are often not accepted. Finally, not having access to one's passport can delay the return home because the embassy must verify the migrant worker's identity, and produce new documents.

5.5 Lack of Information about Legal Rights, Options, and Procedures in a Language that Workers Understand

The first barrier to migrant workers seeking redress is usually a lack of knowledge about rights and redress options. Several reasons are given for this lack of knowledge. The first is the lack of information made available to low-wage migrant workers by their governments or agencies at home or in Malaysia. The Malaysian Government does not have a dedicated body for providing advice and assistance to migrant workers, despite their large numbers. Migrant workers had no knowledge of their rights in Malaysia or their redress options. This was confirmed by embassies who noted that most migrant workers who came to them for help had no knowledge of redress mechanisms available in Malaysia, or how to find that information.

The second challenge to obtaining information is isolation, particularly for migrant workers who are confined to their workplaces and/or boarding houses. Female migrant domestic workers are most vulnerable in this regard, often working without a written contract, and not even told the address of their employer's home. This made leaving and seeking assistance a terrifying prospect. Some overcame isolation in creative ways, for example by contacting old friends abroad through online messaging systems, or approaching fellow

nationals they met in the course of their work, or on the street. But reaching out for help was described as intimidating and also high-risk. Some workers found themselves in new situations of exploitation.

Finally, language is a barrier. None of the mechanisms reviewed have a dedicated translation service, except for the courts, which can appoint interpreters for court hearings. Laws, policies, and procedures for migrant workers are not available in any language other than Bahasa Malaysia, and sometimes English.

5.6 Outsourcing

Outsourcing has been increasingly used by Malaysian employers since the mid-2000s. Although publicly disavowed by the MOHA, new outsourcing is still reportedly taking place by unlicensed agencies or agents. Outsourcing agencies sometimes illegally use a chain of agents and sub-agents and the worker may not know the identity of the sponsoring company. It is, therefore, impossible for the worker to hold the company accountable. The lack of a legal framework for outsourcing agencies makes it difficult to take any kind of legal action against them.

5.7 Delay in the Resolution of Cases

Some migrant workers might not wish to seek redress because they are aware the legal process could be drawn out, during which time they could not work. Waiting for an uncertain outcome can be extremely stressful for migrant workers, who either want to go home, or to quickly return to Malaysia to find another job. Some embassy officials acknowledge that lengthy claims processes deterred many migrant workers from pursuing redress in Malaysia.

It is often possible for a migrant worker to continue with a case, even after returning home, if they have a local address for service, such as a lawyer who is representing them. None of the redress mechanisms specifically prohibit continuing with a case from abroad. However, this can be financially prohibitive for some mechanisms which require attendance by the victim or plaintiff to proceed — such as the Labour Court, or conciliation at the Department of Industrial Relations. Leaving but returning for a trial is more likely in a civil court or industrial court process where the plaintiff or complainant can be represented

in absentia during the intervening steps. Further, in successful cases, the migrant workers were supported by NGOs which had taken extraordinary steps to maintain contact with the worker.

5.8 Lack of Financial and Social Resources

Pursuing a case in Malaysia can be expensive and emotionally taxing. The extent to which individuals are able to obtain redress through formal mechanisms depends largely on the resources they are able to mobilise in terms of money, legal advice, social support, and time.

Claimants may be required to pay filing fees, the costs of transport to and from meetings and hearings, security for costs, legal fees, and other expenses. In all cases the migrant worker must continue to support themselves, and possibly also continue to send money home to repay debts and support family. Sometimes family members in the home country, or organisations in Malaysia, are able to provide some financial support or shelter to migrant workers seeking justice, but this is by no means the norm.

In addition to financial resources, pursuing a claim is easier with a strong social network to offer encouragement and support. Many migrant workers, particularly domestic workers who have been working in isolation, wish to go back home to their families.

Appendix 1
MoUs with Countries of Origin Regarding Recruitment

Malaysia has signed non-binding MoUs on the recruitment and employment of migrant workers with eight countries of origin: Bangladesh, Cambodia, India, Indonesia, Pakistan, the Philippines, Thailand, and Vietnam. These agreements are negotiated in closed-door meetings by the respective Ministries of Human Resources and the terms of the agreements are not publicly available in Malaysia.

The MoUs are available on an external site, see https://apmigration.ilo.org/country-profiles/mou_list?country=MY. The terms and structure of the agreements are not uniform and so are not easily comparable, but all provide some rules regarding recruitment of migrant workers. These include the following:

(1) In all MoUs, the governments agree that the employer must pay for the cost of the worker's flight home at the end of the contract or if the employer terminates or breaches the contract. The two MoUs regarding domestic workers also agree that the employer should pay for the flight to Malaysia;

(2) All MoUs agree that the employers are responsible to give the worker their foreign worker identity card, or "i-Kad" (but note that the issuance of i-Kad has now been suspended);

(3) In two domestic worker MoUs there is an agreement that the workers will pay recruitment fees in the home country. The other MoUs make no mention of fees; and

(4) All agreements, except for one, require that the employment contract be viewed and understood before departure, and one MoU requires employers to send a signed copy to the worker for signature before departure. One MoU by contrast foresees the worker signing the agreement after arrival in the employer's home.

The effect of these MoUs is unclear. Each MoU agrees to form a joint task force or committee for implementation of the agreement. There is no mechanism for enforcement, however, and certainly no grievance mechanism for individual workers. Some of the agreements have expired at the time of writing.

In addition to the MoUs, home countries can also affect the recruitment process with domestic legal requirements that are enforced through its embassy. For example, a government can require that embassies will only approve contracts that pay a certain wage or have certain other protections.

Appendix II
The *Chin Well Fasteners* Case — Contract Substitution and Obligations of Employers

The *Chin Well Fasteners* case is one of the few cases brought by migrant workers to reach the Court of Appeal, and it sets an important precedent regarding migrant worker employment contracts and substituted contracts.

The case involved a group of 52 workers who were recruited in 2002 in India to work in a factory in Penang. During their recruitment process, an agent made oral promises to the workers that they would receive a monthly salary of RM750 with overtime, but that the workers would have to pay for their flights and the levy. The workers verbally accepted this offer.

At the same time, the employer company presented a different written contract to the Indian embassy in Malaysia to obtain approval to recruit in India. This contract promised the workers RM600 per month, together with all travel costs and payment of the levy. The workers did not see or sign this agreement during their recruitment.

Based on the first agreement with the agent, the workers paid their own flights to Malaysia, and USD1,000 on arrival for the levy. Then, when they received their first paycheck, the workers discovered they were being paid only RM350 per month, and that the employer was deducting a further RM120 per month for the levy. The workers complained and mentioned the agreement made in India, but the company said the agent had lied and refused to comply with the terms of that initial, oral agreement.

A group of workers then went to the Indian High Commission where they saw the approved written contract for the first time. On being confronted with this document, the employer decided to send the complaining workers home. When the workers refused to leave their hostel, the employer cut off the water and electricity supply. The workers then filed a claim in the High Court for breach of contract. In response, the employers sought to force the workers to sign a new contract agreeing to a wage of RM350. Some workers, feeling they had no option, signed.

The workers argued to the court that the employers had breached the first contract to pay RM750, or alternatively the second contract promising RM600, and that they had been deceived regarding the levy. They claimed unpaid wages, return of the USD1,000 levy payment, unpaid overtime payments, and the cost of their flights.

The employer company argued that it had never promised RM750, and that the contract presented to the Indian High Commission stating RM600 was simply a formality to obtain the necessary approvals that should not be binding. It argued further that the second contract was unenforceable because the workers had neither seen nor signed it.

The High Court found that, even though the workers had not signed anything, they had come to Malaysia on the representations made by the defendant, through its agent in India, and "there was a contract between the plaintiffs and the defendant".[297] On appeal, the Court of Appeal agreed with the High Court and held that the relevant contract was the contract approved by the Government of India, which clearly stated that no changes could be made without the embassy's approval.

Although the workers had not signed this agreement, the court found that they had signified their intention to be bound to an employment agreement by coming to Malaysia and starting work. Further, it was through the employer's "wilful conduct" that the agreement was not signed, and therefore the company could not rely on the lack of signature to its advantage.[298]

The Court of Appeal ordered that the workers be paid everything due under the initial verbal contract, including RM750 wages, overtime, plus the cost of their flights, and the levy payments.

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[297] *Chin Well Fasteners Co Sdn Bhd v Sampath Kumar Vellingiri & Ors* [2006] 1 MLJ 117, p. 127.

[298] *Chin Well Fasteners Co Sdn Bhd v Sampath Kumar Vellingiri & Ors* [2006] 1 MLJ 117, pp. 129 and 130.

Appendix III
Section 70 of the EA 1955 — "Procedure in Director General's Inquiry"

(1) The complainant either presents a written statement or makes an in-person statement of his/her complaint and the remedy sought at the DoL.

(2) The labour officer, as soon as practicable after receiving the complaint, will examine the complainant under oath and record the substance of the statement in a case book.

(3) The labour officer can make further inquiries "as he deems necessary to satisfy himself that the complaint discloses matters" which should be investigated. The "person complained against" (the respondent) can either attend the Department in person or the labour officer will summon that person to attend as a part of this inquiry.

(4) When issuing a summons to a respondent, the labour officer will give notice of the nature of the complaint and the name of the complainant, and will give a date and time for attendance. The officer will also inform the respondent that he/she may bring any witnesses to speak on his/her behalf. The DoL can issue summonses to those witnesses.

(5) Similarly, the labour officer will inform the complainant of the date, time and place of the hearing, and will instruct the complainant to bring any witnesses he or she may wish to call on his or her behalf.

(6) At any time before or during an inquiry, the labour officer can summon any other persons whose financial interests could be affected by the outcome of the case, or who he/she believes may have knowledge of the matters in dispute or can give relevant evidence.

(7) At the hearing, the labour officer will examine under oath all persons summoned or present whose evidence is material to the matters in dispute, and will then give a decision.

(8) If the person who is the subject of a complaint, or another person whose financial interests may be affected by the case, fails to attend, the labour officer can hear and decide the complaint in their absence.

(9) The labour officer will record the decision in an order on a prescribed form, so that it can later be enforced by a court.

Appendix IV
The *Taj Mahal* Case — Unfair Dismissal of Refugees

The case of Ali Salih Khalaf and the Taj Mahal Hotel has become well-recognised as a court decision that upholds the rights of refugees, and undocumented persons in general, to access the Industrial Court.[299]

Mr Khalaf (the claimant) was a migrant worker, recognised as a refugee in Malaysia by the UNHCR which had issued him a refugee card. He did not have a work permit or pass permitting him to work. The claimant had worked at a hotel, the Taj Mahal, when he was attacked and beaten during an altercation between guests at the hotel. The following day, his employer dismissed him. The claimant argued this was unjust, and sought reinstatement or wages in lieu of reinstatement.

The Industrial Court referred to Article 8(1) of the Federal Constitution and ruled that the term "any person" under the IRA 1967 applies to all workers and all migrant workers, meaning that "both documented and undocumented migrant workers have a right to pursue their rights, if infringed, in the IC [Industrial Court]".

As the employer did not attend the hearing, the Industrial Court heard the case *ex parte*, and found in favour of the claimant. It then decided that reinstatement was not an appropriate remedy, but that as the claimant had been working for the company for less than 12 months when he was dismissed, he was not entitled to compensation. Instead, the court ordered only backwages for 24 months following the dismissal, minus five percent to take account of any other monies he may have earned in this period. The total order was for RM22,800.

A review of the proceedings in this case shows that it took just over three years to resolve. The claimant was attacked on 10 December 2010 and was formally dismissed after the notice period on 12 January 2011. Conciliation at the Department of Industrial Relations appeared to take around 18 months, as the Minister made the reference to the Industrial Court in September 2012.

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[299] *Ali Salih Khalaf vs Taj Mahal Hotel*, Industrial Court of Malaysia, Case No. 22-27/4-1580/12, Award No. 245 of 2014, unpublished.

Following the reference, the Industrial Court held mentions on five occasions between November 2012 and October 2013, and final oral submissions were made on 18 December 2013. The ruling was made on 13 February 2014.

The lawyer in the case explained that he had taken the case *pro bono* and so the claimant was not charged any legal fees or expenses. However, the claimant had not worked during the proceedings and had relied on UNHCR accommodation and support from "generous Malaysians" to be able to continue with the case. Although the claimant was successful, the lawyer noted that the company Taj Mahal had closed down and the owner had disappeared. Therefore the claimant never received the award.

Appendix V
Suing the Malaysian Government for Wrongful Detention

There are two cases in which migrant workers had sought to sue the Malaysian Government for wrongful detention and whipping. One of these cases resulted in a settlement, and the other in deportation and dismissal of the suit.

In the 2005 case of Mangal Bahadhur Gurung, the wrongful arrest proceeded to wrongful imprisonment for 51 days and caning of a documented migrant worker. The case caused a public outcry and received significant media attention.[300]

Mr Gurung was a documented migrant worker from Nepal whose employer held his passport, as well as 10 months of his wages. He had filed a claim at the DoL to recover his wages, but before it was resolved, the police arrested him on suspicion of being an undocumented migrant. As he did not speak Bahasa Malaysia and was not provided an interpreter, he could not explain that he was in fact documented. He was arrested, tried, and sentenced to whipping, and the sentence was carried out. The Malaysian Trades Union Congress ("MTUC") came to know of his case and enlisted a law firm to sue the Government for wrongful imprisonment on a *pro bono* basis. However, Mr Gurung returned home to Nepal, reportedly suffering from depression. Before the matter went to trial, the Government sought security for costs from Mr Gurung, and then finally agreed to settle the matter out of court.

In a similar case, a Bangladeshi migrant worker was arrested, detained, and whipped, despite having a valid passport and work permit held by his employer. He sued the Immigration Department for wrongful imprisonment and for torture and suffering. The worker claimed that he had not been provided an interpreter

[300] See for example JTB. "Pay Mangal a fair compensation", *Letter to the Editor, Malaysiakini*, 3 April 2006, http://www.malaysiakini.com/letters/49255; MTS. "Wronged Nepalese – shame on all Msians", *Letter to the Editor, Malaysiakini*, 25 May 2005, http://www.malaysiakini.com/letters/36455.

and had not understood the process when he pleaded guilty.[301] He successfully had his conviction set aside by the High Court, but he remained in detention because he no longer had a work permit. However, the High Court denied his second claim to prevent his deportation so he could continue with his case. After he was deported, his claim was reportedly dismissed.[302]

[301] See eg A. Tan, "Bangladeshi suing Govt over wrongful jail and whipping", *The Star Online*, 12 April 2014, tinyurl.com/mt86je9z.

[302] O. Mok, "Bangladeshi suing Putrajaya for RM3m now faces deportation", *Malay Mail Online*, 13 June 2014, tinyurl.com/kjbxkhjy.

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